EQUITY RESEARCH · INITIATION OF COVERAGE · INDIA · SPECIALTY FATS AND BUTTERS (CBE)

Manorama Industries Ltd

NSE: MANORAMA · BSE: 541974 · Cocoa butter equivalents and exotic fats and butters from tree-borne seeds · ₹1,358 cr revenue in FY26

A high-return niche leader priced beyond what we can underwrite: we start at Sell

19 October 2026 · price as of 19 October 2026, 3:07 PM (Trendlyne)

RATING	CMP (19-Oct-26)	12-MONTH TARGET (50:50 DCF / P/E)	PRICE CHANGE / TOTAL RETURN TO TARGET
SELL model-based · low-to-medium conviction	**₹1,790.40**	**₹1,195**	**-33.3% / -33.2%**

Summary. Manorama Industries turns forest-collected seeds (sal, mango, kokum and mowrah in India, shea from Africa) into cocoa butter equivalents (CBE) and other specialty fats that go to chocolate, confectionery and cosmetics makers. In three years (FY23 to FY26) standalone revenue rose from ₹351 cr to ₹1,358 cr, the EBITDA margin from 16.1% to 27.1% and profit after tax from ₹29.8 cr to ₹233.2 cr, helped by a jump in fractionation capacity from 15,000 to 47,500 tonnes a year and by 57% of sales going to customers outside India. Cash from operations turned positive in FY26 (₹259.4 cr) after two negative years in which inventory absorbed cash. Q1 FY27 (June 2026 quarter) continued the run: standalone revenue ₹404.0 cr (+39.5%), PAT ₹81.6 cr (+61.3%); consolidated PAT ₹78.7 cr (+67.6%). In July 2026 the company raised ₹500 cr through a QIP at ₹1,470 a share. The shares closed at ₹1,790.40 on 19 October 2026 (down 6.3% on the day per Trendlyne), within a 52-week range of ₹1,060.6 to ₹2,149.5.

Why we rate it Sell. Our estimates are close to the three analysts Trendlyne tracks (our FY27E / FY28E consolidated EPS are ₹48.3 / ₹53.4 against their ₹48.0 / ₹55.5), so the disagreement is about price, not earnings. At ₹1,790 the shares trade at 33.5x our FY28E EPS and about 21.7x our FY28E EBITDA. We value them two ways and blend equally. (1) A 15-year free-cash-flow DCF (cost of equity 12.5%, beta 1.0, terminal growth 5%) gives ₹795 per share today and ₹895 in twelve months. (2) A P/E leg at 28x our FY28E EPS gives ₹1,495. The 50:50 blend is ₹1,195; we set a target of ₹1,195, a price change of -33.3% (total return -33.2% with the ₹0.80 dividend), well below our Sell threshold of −10%. The rating is highly sensitive to beta: public sources give 0.26 (Simply Wall St) and 0.53 / 1.31 / 1.18 (Trendlyne, 3-month / 1-year / 3-year). At a beta of 0.26 the same model gives a target of ₹2,260 (Buy); the rating is Sell at any beta above about 0.5. That is why our conviction is low-to-medium and why Section 14 shows the whole table.

What would change our view. Upgrade: evidence that the market's implied cost of equity (about 8.5% at today's price, against our 12.5%) is the right one, for example a multi-year record of low earnings volatility; margins sustained above 27% with utilisation above 85% on the larger capacity; or a share price below about ₹1,330 (our target would then sit within the Hold band) and ₹1,040 (Buy), holding our estimates. Downgrade (to a stronger Sell): further growth in related-party purchases, a rise in working-capital days from 125, or losses at overseas subsidiaries that widen the gap between consolidated and standalone profit.

Key data	Value
Market cap (price × 6.31 cr shares)	₹11,301 cr
Shares (post-QIP and ESOP)	6,31,22,390 (FV ₹2)
52-week low / high	₹1,060.6 / ₹2,149.5
Price / book (Mar-26, derived)	15.7x (BV ₹114.2)
P/E: FY26 / trailing four quarters	47.5x / 41.7x
ROE / ROCE FY26 (company, standalone)	40.3% / 33.6%
Dividend FY26 (₹/share)	₹0.80 (0.04% yield)
Promoters 31-Mar-26 / Sep-26 (Trendlyne)	54.32% / 51.38%
Net debt Mar-26 (our calc) / QIP Jul-26	₹214 cr / ₹500 cr

₹ cr	FY25	FY26	FY27E	FY28E
Revenue	771	1,358	1,711	1,950
EBITDA	191	368	453	507
EBITDA margin	24.8%	27.1%	26.5%	26.0%
PAT	112.1	233.2	312.5	347.1
EPS ₹ (consol.)	18.42	37.67	48.3	53.4
P/E at CMP (x)	97	47.5	37.1	33.5
Dividend per share (₹)	0.60	0.80	0.80	1.00

Sources: Manorama annual report FY26 (audited statements, notes) [AR26], Q1 FY27 results filing [R-Q1], investor presentation Q1 FY27 [IP-Q1], Trendlyne report dated 19-Oct-26 [TL]; P/E, P/B and net debt are our derivations; FY27E–FY28E are our estimates. Standalone revenue/EBITDA/PAT; EPS for FY25–FY26 is consolidated basic (₹18.42, ₹37.67).

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Scope, sources and how to read this report

This report was prepared on 19 October 2026 from documents supplied in a shared folder and attached to the work request, plus two public web pages for beta. It follows one rule above all: every figure is taken from a source we name, derived from named figures by arithmetic we show, or labelled as our own estimate. Where sources disagree we say so and list the conflict in Section 15. Where a figure is not in our sources we leave it out rather than guess. Square-bracket tags such as [AR26 p.85] refer to the document and PDF page (annual reports, results filing, Trendlyne), transcript page (calls) or slide number (presentations) listed below; for the three annual reports, printed page number = PDF page − 3.

Tag	Document	How we used it
AR26, AR25, AR24	Annual reports FY26 (2025-26), FY25 (2024-25) and FY24 (2023-24), each with audited standalone statements and notes	Primary source for audited P&L, balance sheet, cash flow, notes, related-party and shareholding data, MD&A, industry data
R-Q1	Q1 FY27 results filing (13-Aug-26), standalone and consolidated, with limited-review report	Latest quarter, derived EBITDA
IP-Q1, IP-Q4	Investor presentations for Q1 FY27 (filed 13-Aug-26) and Q4/FY26 (11-May-26)	Business description, capacity, consolidated figures, quarterly series, capex plan
CC-Q2, CC-Q3, CC-Q4, CC-Q1	Earnings-call transcripts: Q2 FY26 (17-Oct-25), Q3 FY26 (28-Jan-26), Q4 FY26 (12-May-26), Q1 FY27 (14-Aug-26)	Management commentary, guidance, Q&A themes
BRSR	Business Responsibility and Sustainability Report FY26	Workforce, energy, water, emissions
BM-0409, BM-2209	Board-meeting outcomes of 4-Sep-26 and 22-Sep-26	Board changes, subsidiary capital increases
TL	Trendlyne stock report, 19-Oct-26, 3:07 PM	Price, 52-week range, consensus, beta windows, shareholding trend, block deals
SWS, SHP	Simply Wall St and Sharpely company pages (fetched 19-Oct-26)	Beta cross-check

Conventions. ₹ cr = ten million rupees; ₹ lakh = one hundred thousand rupees; mn = million. "Standalone" is Manorama Industries Ltd alone; the audited standalone statements are the basis of our historical analysis and revenue forecasts because the nine overseas subsidiaries (incorporated July 2024 to January 2026) are procurement, trading or set-up vehicles with little external revenue. "Consolidated" includes them. EBITDA is revenue from operations less materials, change in inventories, employee and other expenses (other income excluded); our derived FY26 figure of ₹367.71 cr equals the company's ₹36,771.01 lakh [AR26 p.89]. EPS is on the current face value of ₹2. FY means the year to 31 March. Estimates for FY27E onwards are our own and are not company guidance or consensus. Documents we could not use are listed in Section 15.

1. Executive summary and investment thesis

1.1 In one page

- What it is. A single-segment manufacturer of cocoa butter equivalents (CBE), stearin and other exotic specialty fats and butters at one integrated plant at Birkoni, Mahasamund (Chhattisgarh). FY26 standalone revenue was ₹1,357.7 cr (+76.1%), EBITDA ₹367.7 cr (27.1% margin), PAT ₹233.2 cr (17.2%) [AR26 p.85]; 57.1% of revenue came from customers outside India [AR26 p.231].
- Latest quarter. Q1 FY27 standalone revenue ₹404.0 cr (+39.5%), derived EBITDA ₹109.2 cr (27.0%), PAT ₹81.6 cr (+61.3%); consolidated PAT ₹78.7 cr (+67.6%), EPS ₹13.17 [R-Q1 p.1–7; IP-Q1 s.24]. Other income was ₹16.0 cr, of which ₹13 cr was a forex gain [CC-Q1 p.16].
- Balance sheet. After a ₹500 cr QIP at ₹1,470 on 2 July 2026 [AR26 p.89], we estimate net debt of ₹214 cr at March 2026 (consolidated, after deducting long-term bank deposits) became net cash of about ₹286 cr pro forma, before Q1 FY27 cash flows. The company's own net debt-to-equity ratio at March 2026 was 0.38 [CC-Q4 p.4].
- Expansion. A ₹460 cr plan (new 75,000 t solvent fractionation plant, 75,000 t cocoa-butter alternative plant, 90,000 t refinery, and a 90,000 t seed-processing plant in Burkina Faso) targets commissioning from Q3 FY28; FY27 capex guidance is ₹225–250 cr [IP-Q4 s.27; CC-Q1 p.11–12].
- Valuation. At ₹1,790.40 the shares trade at 47.5x FY26 consolidated EPS, 33.5x our FY28E EPS of ₹53.40 and about 21.7x our FY28E EBITDA.
- Our call. Sell, 12-month target ₹1,195 (50:50 blend of DCF ₹895 and 28x FY28E P/E ₹1,495): price -33.3%, total return -33.2%. Conviction is low-to-medium because the DCF depends on beta (Section 14).

1.2 Five things the data support

(1) Growth has been very fast and was funded by inventory. Standalone revenue grew 30.3% in FY24, 68.6% in FY25 and 76.1% in FY26. Inventories rose from ₹157.7 cr (March 2023) to ₹710.4 cr (March 2026) and cash from operations was negative in FY24 (−₹153.5 cr) and FY25 (−₹58.7 cr) before turning to +₹259.4 cr in FY26 [AR24 p.153–155; AR26 p.203–205]. Working-capital days fell from 242 (FY22) to 125 (FY26) [IP-Q4 s.10]. The turnaround is real, but it is one year long.

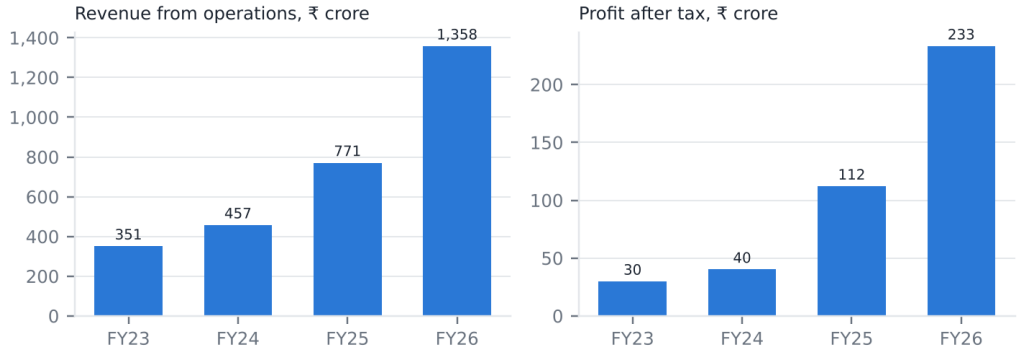


Figure 1: Standalone revenue and profit after tax, FY23–FY26. Source: audited standalone statements [AR24 p.154; AR25 p.174; AR26 p.204].

(2) Margins stepped up with scale and mix, then flattened. EBITDA margin was 16.1% in FY23 and FY24, 24.8% in FY25 and 27.1% in FY26. By quarter (standalone) it rose from 20.1% in Q1 FY25 to 27.4% in Q4 FY25 and then stayed in a 26.9–27.3% band for the next four quarters [IP-Q4 s.8], with Q1 FY27 at 27.0% on our derivation. Gross margin fell from 48.4% (FY25) to 45.3% (FY26) [IP-Q4 s.11], which management attributes to freight and by-product realisation and says is normal in a 45–50% range [CC-Q3 p.5; CC-Q4 p.9–10].

(3) Capacity, not demand, has been the limit. Fractionation capacity was 15,000 tonnes a year until FY24, 40,000 in FY25 and 47,500 in FY26; utilisation was about 63% in FY25 and about 85% in FY26 [CC-Q2 p.18; CC-Q4 p.2–3]. Management's FY27 utilisation message softened: 85–90% on the Q4 call, then "stakeholders should take 80%" on the Q1 FY27 call [CC-Q4 p.13; CC-Q1 p.10, 15]. A debottlenecking of 4,500 tonnes to about 52,000 tonnes is expected in Q3 FY27.

(4) Earnings quality is good on the audited numbers, with items to watch. The auditor (Singhi & Co.) gave an unmodified opinion with no key audit matters [AR26 p.196, 198]. Cash profit (PAT plus depreciation) was ₹258.8 cr in FY26 against operating cash flow of ₹259.4 cr [CC-Q4 p.12; AR26 p.205]. Items to watch: two customers accounting for 40.5% of FY26 revenue [AR26 p.232], purchases from a promoter-influenced entity (₹191.8 cr in FY26; related parties 38.9% of all purchases), a ₹23.3 cr cumulative forex-forward mark-to-market provision, and other income swinging from −₹5.3 cr (Q4 FY26) to +₹16.0 cr (Q1 FY27) [AR26 p.236–237; CC-Q4 p.3–4; R-Q1].

(5) The Street is bullish and our earnings are close to its. Trendlyne lists three analysts, all positive, with an average target of ₹2,111 (range ₹2,080–2,141) and FY27E / FY28E EPS of ₹48.0 / ₹55.5 [TL p.1, 9]. Our FY27E /

FY28E EPS are ₹48.3 / ₹53.4. The Street target equals about 38x its FY28E EPS (our arithmetic). We do not know how the analysts set their multiple; it is not in our sources.

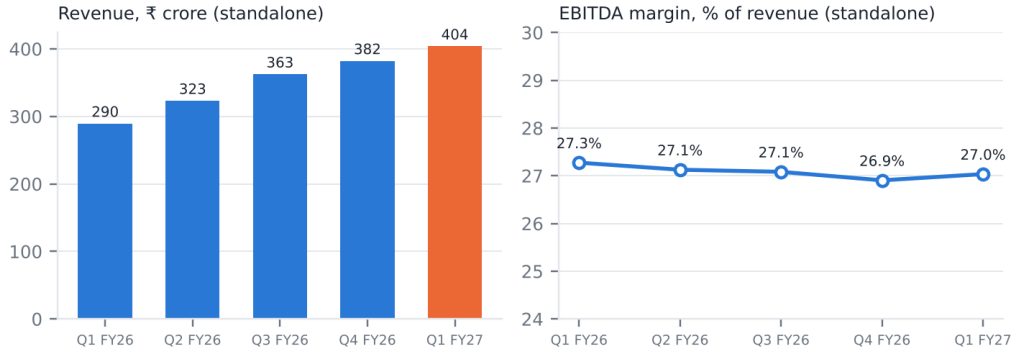


Figure 2: Standalone quarterly revenue and EBITDA margin, Q1 FY26 to Q1 FY27 (Q1 FY27 in orange). Source: results filings and call transcripts; Q3 FY26 derived as FY26 less other quarters.

1.3 Why Sell when the business is this good

Because the price already pays for earnings well beyond the three years we can forecast. At ₹1,790.40 the market capitalisation is ₹11,301 cr. Our base DCF values the business at ₹795 per share today. To reach today's price on the DCF alone, either (a) the steady-state EBITDA margin would have to exceed 40% (FY26 was 27.1%; the best quarter on record is 27.4%; management calls 25–27% sustainable [CC-Q4 p.5]) — a 40% margin gives only ₹1,343 on our other inputs — or (b) the cost of equity would have to be about 8.5%, which corresponds to a beta of about 0.44 on our Rf and ERP. A beta that low is what Simply Wall St shows (0.26); Trendlyne shows 1.31 over one year and 1.18 over three years. We take 1.0.

Bottom line. Manorama is the kind of company that can compound at 25–30% for several years, and the Street may well be right that the shares deserve a premium. On the evidence in our folder we cannot underwrite a price above about ₹1,195 at a market-consistent cost of equity. We would change the rating on a lower price, not on better news alone: at ₹1,330 the shares would sit in our Hold band and at ₹1,040 in our Buy band, on unchanged estimates.

1.4 Timeline of events

Date	Event	Source
Jul 2024	New 25,000 tpa fractionation plant commissioned; fractionation capacity 15,000 → 40,000 tpa (IP-Q1 footnote says July 2025; see Section 15)	AR25 p.32; AR26 p.14; IP-Q4 s.20
Jul 2024 – Jan 2026	Nine overseas subsidiaries incorporated (Nigeria, UAE, Togo, Ivory Coast, Burkina, Benin, Ghana, Brazil, Taang Kaam Industries SA)	AR26 p.235
24 Dec 2024	Block sales at ₹1,100 by members of the promoter family (18,18,183 shares in all, ₹200 cr by our arithmetic)	TL p.11
17 Oct 2025	Q2 FY26 call: FY26 revenue guidance raised from ₹1,050 cr to ₹1,150 cr+	CC-Q2 p.3
28 Jan 2026	Q3 FY26 call: guidance raised to ₹1,300 cr; ₹460 cr capex plan outlined	CC-Q3 p.2–3, 17
FY26 (to Mar 2026)	Debottlenecking adds 7,500 tpa (fractionation 47,500 tpa); CARE upgrades bank facilities to A+; Stable	IP-Q4 s.20; AR26 p.14, 135
19 Apr 2026	Postal ballot approves QIP of up to ₹500 cr	AR26 p.90
11–12 May 2026	FY26 results (auditor's report dated 11 May); Board approves up to ₹150 cr equity and/or ₹100 cr loans and/or ₹100 cr guarantees for the Burkina Faso plant; Q4 call 12 May	AR26 p.90, 196; CC-Q4
2–3 Jul 2026	QIP: 34,01,360 shares at ₹1,470 (₹499.99 cr); 12,500 ESOP shares; share count 6,31,22,390	AR26 p.89–90
13–14 Aug 2026	Q1 FY27 results (13 Aug) and call (14 Aug); exchange notification of a supplier quality debit note (about 12 Aug)	R-Q1; CC-Q1 p.12–13
4 Sep 2026	Board appoints Dr Rohini Tiwari as additional independent director; Mudit Kumar Singh's independent tenure ends 5 Sep	BM-0409
21–22 Sep 2026	AGM (21 Sep); Board approves further capital increases in overseas subsidiaries (22 Sep)	R-Q1 p.1; BM-2209
19 Oct 2026	Price ₹1,790.4 (−6.3% on the day); market cap ₹11,301 cr (derived)	TL p.1

Dates are as given in the cited documents; where a source gives only a month we show the month.

2. Company overview

2.1 What the company does

Manorama Industries Limited (CIN L15142MH2005PLC243687; NSE: MANORAMA, BSE: 541974) has its plant at Birkoni, Mahasamund, Chhattisgarh, its corporate office at Raipur and its registered office in Mumbai [IP-Q1 cover; AR26]. It describes itself as having built its business over nearly two decades on specialty fats and butters derived from exotic tree-borne seeds [IP-Q4 s.14]. It reports a single segment, exotic seed fats and butters including CBE [R-Q1 p.7].

The process is a "waste-to-wealth" chain. Seeds collected by forest communities (sal, mango kernel, kokum and mowrah in India, shea in Africa) are cleaned, de-shelled and milled in expellers; the crude oil is extracted by solvent, refined, and split by fractionation into stearin and olein. Blending the right fractions, sometimes with palm mid-fraction, produces cocoa butter equivalents, which are compatible with cocoa butter in chocolate and need no hydrogenation. The de-oiled cake left after extraction is sold as cattle feed [IP-Q4 s.16–19]. The company says CBE cuts a chocolate maker's ingredient cost by 30–40% (annual-report statement, no source given) [AR26 p.77–82] and that EU and Indian rules allow up to 5% CBE in chocolate [IP-Q1 s.8].

Revenue mix (standalone). Stearin and CBE together were 71.4% of FY26 revenue [IP-Q1 s.5]; CBE alone was about 30% in FY26, up from about 27% in FY25 and about 10% in FY24, and stearin about 45% in FY25 [CC-Q4 p.13–14; AR25 p.71]. Management says value-added products are about 75% of sales and targets 85–90% [CC-Q3 p.13, 15, 17]. CBE realisation was quoted at USD 5,500–6,000 per tonne depending on batch specification [CC-Q2 p.10, 18]. Contracts run 9–12 months with price and volume fixed [CC-Q1 p.6; CC-Q2 p.10]; pricing is on a cost-plus model and CBE is not linked to the cocoa butter price [CC-Q3 p.9, 16].

2.2 Customers and geography

The company names Ferrero, Mondelez, Mars, The Hershey Company, Nestlé, Barry Callebaut, Cargill, Bunge, AAK, L'Oréal, The Body Shop and Lush among its clients, with many others listed in the investor presentation [IP-Q4 s.24]. Management said the top ten customers are about 40% of sales [CC-Q2 p.6]; the audited segment note is more specific and more concentrated: two customers each exceeded 10% of FY26 revenue, Customer A at ₹285.7 cr (21.05%) and Customer B at ₹264.7 cr (19.49%), together 40.5% [AR26 p.232]. Because the top two alone are 40.5%, the top ten must be at least that, so we read management's "about 40%" as understating concentration; the customers are not named. US exports are 2–3% of sales and Middle East exposure 2–3% [CC-Q2 p.8, 17; CC-Q4 p.8–9, 17]. The company sells in 19 Indian states and 35 countries [BRSR]. Domestic sales of products were ₹577.9 cr and export sales ₹775.4 cr in FY26 (42.9% / 57.1% of revenue); exports were 72.6% of revenue in FY25, so the mix moved toward India as domestic FMCG demand grew [AR26 p.231]. Management described the Q1 FY27 mix as 60:40 export to domestic [CC-Q1 p.2–4].

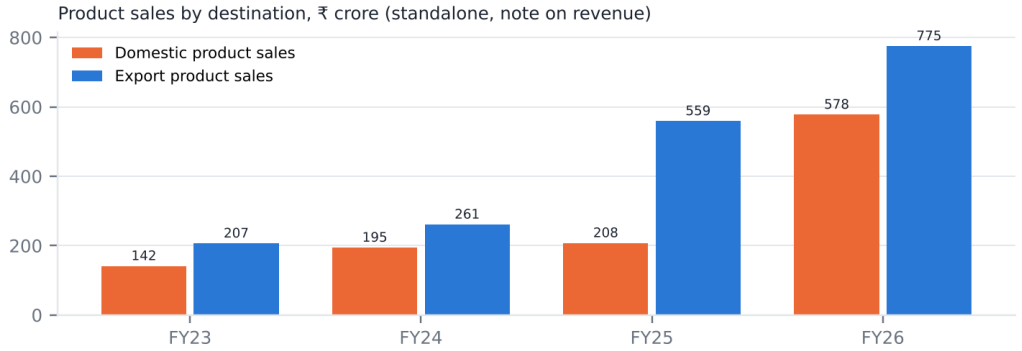


Figure 3: Product sales by destination, ₹ crore (standalone). Source: revenue note [AR24 p.178; AR25 p.200; AR26 p.231].

2.3 Capacity and facilities

Capacity (tonnes per year)	FY22	FY23	FY24	FY25	FY26
Seed milling (expeller)	60,000	60,000	90,000	90,000	90,000
Solvent extraction	–	90,000	90,000	90,000	90,000
Refinery	15,000	15,000	45,000	45,000	45,000
Fractionation	15,000	15,000	15,000	40,000	47,500
Packing			15,000	15,000	30,000

Source: investor presentation Q4 FY26 [IP-Q4 s.20–21]. Packing is from the MD&A table (15,000 in FY24–FY25, 30,000 in FY26) [AR26 p.83]; the presentation shows 30,000 for FY26. The same MD&A table shows Fractionation-2 at 25,000 for FY25 and FY26 although its text says the plant was raised to 32,500 tpa; we follow the presentation and the Q4 call (47,500 tpa in total), and list the difference in Section 15.

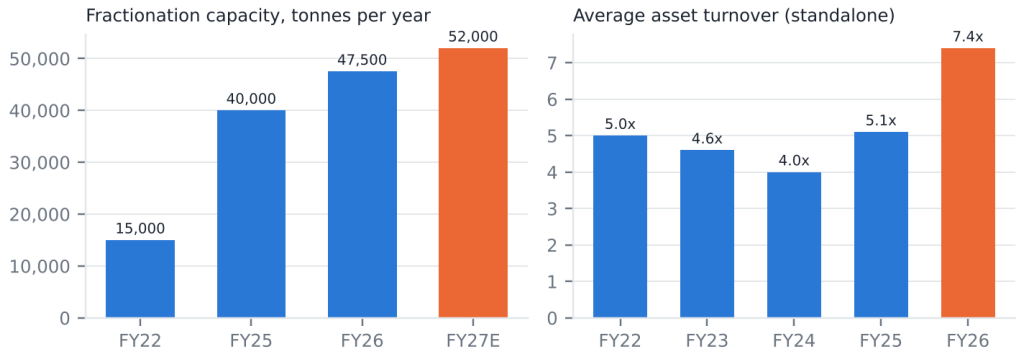


Figure 4: Fractionation capacity (tonnes per year; FY27E is management's debottlenecking target) and average asset turnover. Source: IP-Q4 s.21–22; IP-Q1 s.11–12.

Average asset turnover (revenue divided by average fixed assets) rose from 4.0x in FY24 to 5.1x in FY25 and 7.4x in FY26 [IP-Q4 s.22]. Management expects forward-integration projects to run at more than 5–6x asset turnover [CC-Q3 p.6; CC-Q4 p.6–8].

2.4 Group structure

Nine wholly owned overseas subsidiaries were incorporated between July 2024 and January 2026: Manorama Savanna Ltd (Nigeria), Mena Trading LLC (UAE), Manorama Africa Benin, Manorama Africa Savanna (Ivory Coast), Manorama Burkina SARL, Manorama Savanna Ghana Ltd, Manorama Latin America LTDA (Brazil), Manorama Savanna Togo and Taang Kaam Industries SA (Burkina Faso, the proposed plant company) [AR26 p.235]. A tenth, Manorama Savannah Agro Chad SARL, was added in FY27 [CC-Q1 p.3]. The West Africa subsidiaries are procurement vehicles with no stand-alone revenue; the Brazil subsidiary supports a processing arrangement with Dekel Agroindustria, under which Manorama pays a per-tonne processing cost and does not share profit [CC-Q4 p.11–12; CC-Q1 p.5, 8, 14]. Manorama Savanna Ghana Ltd is the only subsidiary the annual report designates as material [AR26 p.133]. Related-party purchases from these subsidiaries are analysed in Section 5.

2.5 People, board and ownership

The company had 523 people at 31 March 2026: 293 permanent employees and 230 permanent workers, plus 222 other-than-permanent workers [AR26 p.88; BRSR]. Employee cost was ₹61.3 cr [AR26 p.88]. The board comprises Ashish Saraf (Chairman and Managing Director), Vinita Saraf (Vice Chairperson and whole-time director), Shrey Saraf, Ashok Jain (whole-time director and CFO) and Gautam Pal as whole-time directors, and independent directors Subhaprada Nishtala, Jose V. Joseph, Nipun Sumanlal Mehta and Veni Mocherla, with Mudit Kumar Singh's tenure ending on 5 September 2026 and Dr Rohini Tiwari appointed on 4 September 2026 [IP-Q1 s.32; BM-0409]. Three of the five whole-time directors (Ashish, Vinita and Shrey Saraf) are family members; the family's role in sourcing and pay is discussed in Section 5.

Shareholder category (31-Mar-26)	Shares	%
Promoters (5 holders): Ashish Saraf 46.17%, Vinita Saraf 7.65%, Agastya Saraf 0.25%, Shrey Saraf 0.25% and a relative with 2,000 shares	3,24,35,406	54.32
Institutions (93 holders)	35,13,332	5.89
Non-institutions (36,237 holders)	2,37,59,792	39.79
Total	**5,97,08,530**	**100.00**

Source: [AR26 p.133, 224–229]. 36,335 shareholders in all; 99.99% in demat form. Ritu Saraf (7.10%) is listed among holders of more than 5% but is not within the 54.32% promoter total, which equals the four named holders plus 2,000 shares [AR26 p.224–229; TL p.12]. After the QIP the share count is 6,31,22,390. Trendlyne shows promoters at 51.38% in September 2026 (54.32% before), institutions at 10.56% (5.85% before): DII 6.4%, FII 4.2% [TL p.11]. Our own arithmetic of 3,24,35,406 ÷ 6,31,22,390 gives 51.38%, which matches.

2.6 Products, R&D and market position

The investor presentation lists a branded range under Milcoa® that goes beyond straight CBE: filling fats (the Milcocream series, including a wafer-cream filling fat and bake-stable fillings), cocoa butter equivalents and improvers (Milcoa ES1057, IS1043), a cocoa butter replacer (Milcoat R1058) with a non-hydrogenated, non-lauric version at prototype stage, hard fats for culinary and bakery use, bakery shortening, chocolate-hazelnut spread fats (Milcospread), ice-cream coating fat and a frozen-dessert fat [IP-Q4 s.30]. The company says its Milcoa Innovation and Research Center is DSIR-accredited and led by Dr Krishnadath Bhaggan, and that R&D works with customers on applications in chocolate, food, confectionery, cosmetics and personal care [IP-Q4 s.31]. Lab expenses in the standalone accounts were ₹2.16 cr in FY26 (₹2.15 cr in FY25) [AR26 p.234]; R&D spend is not otherwise broken out in the notes we read.

Market-position claims in the presentation: the company was the largest exporter of sal fat from India by value and volume in FY25; the FSSAI has allowed 5% CBE in chocolate since 1 January 2018; and clients include top FMCG players in premium confectionery, chocolate and cosmetics [IP-Q4 s.14]. These are company statements; we could

not verify the first against an independent source. Exports were 57% of FY26 turnover and the company sells in 19 Indian states and 35 countries [BRSR].

3. Industry analysis

3.1 Where the product sits

Manorama sells an ingredient, not a consumer product. Its CBE competes with cocoa butter inside chocolate and confectionery recipes, and its other fats (stearin, shea butter, filling fats under the Milcoa® brand) go to food, cosmetics and personal-care makers [IP-Q4 s.19, 30]. The annual report's industry section is therefore a demand story about chocolate, confectionery and cosmetics in India, combined with a global supply story about seed-derived fats. The company's own chain of customers shows the global orientation: more than half of FY26 sales were exports [AR26 p.231].

3.2 Industry data quoted in the annual report

Market (as quoted by the company)	Start	End	CAGR	Source cited in AR26
India specialty fats and oils	USD 1.9 bn (2025)	USD 2.8 bn (2034)	4.29%	IMARC
India chocolate	USD 1.80 bn (2024)	USD 2.99 bn (2034)	5.20%	Expert Market Research
India confectionery (chocolate 36.5% share)	₹398.71 bn (2025)	₹618.10 bn (2034)	4.99%	IMARC
India cosmetics	USD 23.86 bn (2024)	USD 44.63 bn (2032)	8.28%	Fortune Business Insights

Source: AR26 p.77–82 (third-party figures reproduced by the company; we have not checked them against the publishers' reports). Our arithmetic confirms that each CAGR is consistent with its start and end values.

What these figures do and do not tell us. They show a domestic market growing at roughly 4–5% a year in chocolate, confectionery and specialty fats, and 8% in cosmetics. Manorama grew revenue 76% in FY26, so its growth cannot be explained by market growth; it comes from capacity additions, customer wins and substitution of cocoa butter by CBE. The India figures also describe only 43% of FY26 sales (domestic); the export market, which is 57%, is not sized in our sources. We therefore do not compute a market share and we do not extrapolate from the industry figures.

3.3 Demand drivers management cites

- **Cost of cocoa butter.** Management and the annual report position CBE as a cheaper functional substitute, cutting ingredient cost by 30–40% [AR26 p.77–82]. Management also says CBE realisation is cost-plus and not linked to the cocoa butter price [CC-Q3 p.9, 16], so Manorama's price is set by its own cost and the contract, not by the cocoa market. We could not verify the substitution benefit independently.
- **Regulatory ceiling on CBE in chocolate.** The EU and India (FSSAI) permit up to 5% CBE in chocolate [IP-Q1 s.8]. This is both a demand support (allowed use) and a cap (limits penetration in regulated chocolate products). Uses outside regulated chocolate (confectionery coatings, fillings, bakery, cosmetics) are not capped by this rule in our sources.
- **Cosmetics and personal care.** Shea butter and other butters serve cosmetics clients such as L'Oréal, The Body Shop and Lush [IP-Q4 s.24]; the annual report quotes 8.28% growth for Indian cosmetics.
- **Customer qualification.** The company says new suppliers go through an approval process and that this makes clients sticky [IP-Q4 s.14]. We read this as plausible but unquantified: we have no churn or contract-renewal data.

3.4 Supply side and seasonality

Seeds are collected from forests by tribal communities: sal in May–June, mango kernel in May–July and phulwara in June–July in India; shea nuts in West Africa are picked, boiled and de-shelled before shipping to Raipur [IP-Q4 s.18–19]. The company buys through collection centres in India and through wholly owned procurement subsidiaries in ten African regions; imported seed and butter account for 50–60% of procurement and the rest is domestic [CC-Q1 p.6–7, 12]. Management said a temporary Nigerian export ban on shea nuts does not materially affect it [CC-Q1 p.7]. On the EU Deforestation Regulation, management's view is that it does not apply because the seeds are forest-collected and not a farm crop [CC-Q3 p.17]; that is the company's interpretation, which we cannot assess. Because collection is seasonal, inventory is built in the season and sold across the year; this is the structural reason inventory was ₹710.4 cr at March 2026 (about 191 days of FY26 revenue by our arithmetic) [AR26 p.203; CC-Q4 p.6].

3.5 Competitive landscape as management describes it

Management says there are "very few companies globally" doing what Manorama does and gave no market-share data [CC-Q2 p.14, 17]. The company's client list includes large global fat and oil processors (AAK, Bunge, Cargill, Loders Croklaan, Fuji Oil, Mewah, Olam) [IP-Q4 s.24], which suggests Manorama is also a supplier to businesses that could, in principle, compete with it; we have no information in our sources about their CBE capacity or costs. Trendlyne's peer set for the stock (Varun Beverages, EID Parry, Avanti Feeds, Sanstar, HMA Agro, SKM Egg Products) consists of food and beverage companies, not CBE producers, and we do not use it for relative valuation [TL p.4].

Global context from the annual report. The annual report records India real GDP growth of 7.6% in FY26 (7.1% in FY25) and says global inflation was expected to rise to 4.4% in 2026 on supply disruption including the closure of the Strait of Hormuz [AR26 p.65–66]. Management says West Asia and tariff developments affect it only indirectly [CC-Q4 p.8–9, 17].

4. Competitive position

4.1 The company's claimed advantages and the evidence we can check

Claim (company)	Evidence in our sources	Our read
Integrated capacity from seed to CBE at one site	Seed milling 90,000, extraction 90,000, refinery 45,000, fractionation 47,500, packing 30,000 tpa [IP-Q4 s.20]; asset turnover 7.4x in FY26 vs 4.0x in FY24 [IP-Q4 s.22]	Supported by data; the same concentration is also a risk (single site)
Pricing power / cost-plus pricing	Gross margin 45.3% in FY26, 48.4% in FY25, 45.3% in FY24 (our arithmetic: (revenue − materials − inventory change) ÷ revenue); company range 45–50% [CC-Q4 p.5]	Margin has been stable for three years at 45–48% while revenue rose 3x; consistent with cost-plus contracts
Sticky, qualified customers	Two customers were 21.05% and 19.49% of FY26 revenue (audited) [AR26 p.232]; management said top ten about 40% [CC-Q2 p.6]; 9–12 month contracts [CC-Q1 p.6]	Stickiness plausible but no churn data; concentration is high: two buyers are 40.5% of revenue
R&D as entry barrier	DSIR-recognised R&D centre; Milcoa® product range [IP-Q4 s.30–32]	Qualitative only; R&D spend is not disclosed in the pages we read
Sustainable sourcing, certifications	RSPO membership, Fair for Life re-certification, no-deforestation policy [IP-Q4 s.23, 34–35]; BRSR has no external assurance on energy and emissions data [BRSR]	Positive for customer approvals; data not independently assured
Waste-to-wealth model (by-product sales)	De-oiled cake sold to cattle-feed makers; by-product inventory ₹18.3 cr at March 2026 [IP-Q4 s.16; AR26 p.221]	Small but real by-product stream
Proximity to Visakhapatnam port	IP says a new 8-lane highway will ease procurement [IP-Q4 s.16]	Forward-looking claim; no data

4.2 Returns and capital efficiency

Company-reported standalone ROE was 40.3% in FY26 (28.1% in FY25) and ROCE 33.6% (19.8%) [AR26 p.85]; Trendlyne's consolidated annual figures are 33.0% and 47.6% [TL p.1]. The two sets use different definitions (the investor presentation computes ROE on average equity; Trendlyne's basis is not stated) and we do not reconcile them. The direction is clear in both: returns rose sharply as capacity filled. The caution is that FY26 returns are measured on a balance sheet before the ₹500 cr QIP and before the ₹460 cr expansion; both will dilute returns until the new plants are full. Cash profit (PAT plus depreciation) of ₹258.8 cr in FY26 compared with a gross block of about ₹250 cr, as management put it [CC-Q4 p.12].

4.3 Weak points in the competitive position

- **One plant, one product family.** All production is at Birkoni; a stoppage would hit all revenue. The company reports a single segment [R-Q1 p.7].
- **Raw-material access.** Supply depends on seasonal forest collection and on imports from West Africa, partly through related parties (Section 5). The company's own risk list includes environmental and social issues in tribal areas, supply chain and forex [AR26 p.86–87].
- **Concentration in two products.** Stearin and CBE are 71.4% of revenue; value-added products about 75% [IP-Q1 s.5; CC-Q3 p.13].
- **Customer concentration.** Two customers account for 40.5% of FY26 revenue (21.05% and 19.49%) [AR26 p.232]. Large multinational buyers can dual-source; losing or re-pricing one of them would move earnings materially. This is, in our view, the most important business risk after valuation.
- **Forward integration into new markets.** The new cocoa-butter-alternative and refinery plants target new customer sets; benefits depend on commissioning and approvals [IP-Q4 s.27].

4.4 Sustainability, workforce and community

Sustainability matters commercially here because the raw material is collected from forests by tribal communities and the large buyers audit sourcing. The company reports a no-deforestation, no-peat, no-exploitation policy, a seed-collector programme (Vansakhi), a tribal empowerment programme (M-TAP) with weekly training sessions, Fair for Life re-certification and a product-carbon-footprint study for sal CBE and shea CBE [IP-Q4 s.34–35]. Its "Jabari Bestaan" community programme reaches about 30,000 people and is to be extended to shea-growing regions with a target of up to 100,000 [IP-Q4 s.35]. CSR expenditure was ₹1.66 cr in FY26 (₹0.91 cr in FY25) [AR26 p.234].

BRSR FY26 (not externally assured)	FY26	FY25
Permanent employees / permanent workers / other workers	293 / 230 / 222	498 employees; 160 contract workers
Women among permanent employees	13.65% (40 of 293)	8.83%
Energy consumed (GJ)	5,14,660	4,90,350
of which renewable-sourced fuel (GJ)	4,29,293	n/a
Water withdrawn (kl; all groundwater, zero liquid discharge)	26,132	1,18,300
Scope 1 / Scope 2 emissions (tCO2e)	1,646 / 14,791	605 / 12,178
Biogenic CO2 excluded from the above (t)	42,929	n/a
Share of related-party purchases ÷ total purchases	39%	44%

Source: [BRSR; AR25 BRSR p.125 for FY25 workforce]. The BRSR also gives intensity ratios per tonne of output, but the numerator and denominator are not reconciled in the text we read (18.47 GJ per tonne against 10.19), so we do not use them. Scope 1 emissions rose 2.7x on higher production and the use of fuel; no external assurance is reported.

5. Governance and related-party transactions

5.1 Purchases from related parties

The audited related-party note shows that a large part of the company's purchases comes from entities connected to the promoters or from its own subsidiaries. We summarise the standalone figures below (₹ lakh as reported, ₹ cr for ease).

Standalone purchases of goods (₹ lakh)	FY25	FY26	FY26 (₹ cr)
Manorama Africa Ltd (directors have significant influence)	22,969.93	19,175.15	191.75
Manorama Savanna Ghana Ltd (wholly owned subsidiary)	–	15,298.09	152.98
Manorama Africa Benin (subsidiary)	1.97	636.38	6.36
Manorama Savanna Nigeria (subsidiary)	1,339.95	–	–
Total related-party purchases	24,311.85	35,109.62	351.10
Total purchases: seeds, chemicals and other raw materials (note 22)	55,716.38	90,193.10	901.93
Related-party purchases as % of total purchases (our ratio)	43.6%	38.9%	
BRSR: purchases with related parties ÷ total purchases	44%	39%	
Manorama Africa Ltd alone as % of total purchases (our ratio)	41.2%	21.3%	
Advances for purchases outstanding at year end, all related parties (₹ cr)	11.4	29.6	

Source: related-party note [AR26 p.235–237]; purchases from note 22 on cost of materials consumed (seeds ₹562.1 cr, chemicals ₹14.8 cr, other raw materials ₹325.0 cr in FY26) [AR26 p.232]; BRSR share of related-party purchases [BRSR]. Our ratios reproduce the BRSR figures (44% and 39%), which confirms the denominator. Related-party advances: FY26 ₹29.6 cr, of which ₹22.9 cr to subsidiaries.

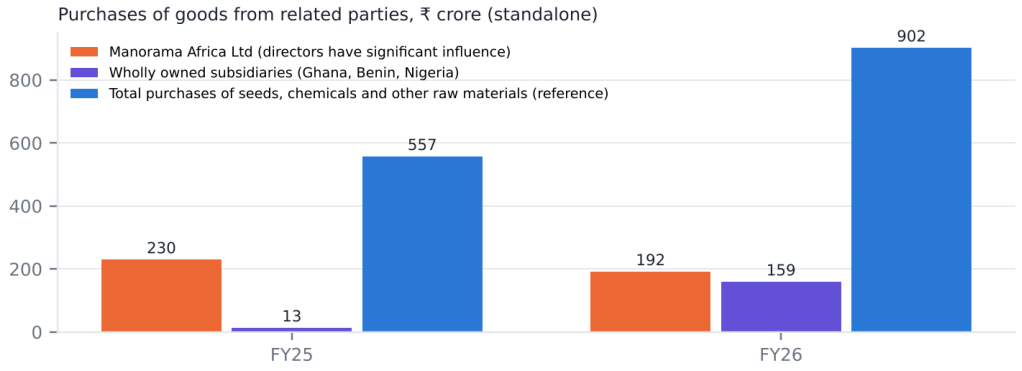


Figure 5: Purchases of goods from related parties versus total raw-material purchases, ₹ crore (standalone). Source: [AR26 p.232, 236–237].

Reading the numbers. Related parties supplied 43.6% of purchases in FY25 and 38.9% in FY26. The mix moved: reliance on Manorama Africa Ltd halved (41.2% to 21.3% of purchases) while the wholly owned Ghana subsidiary,

which did not trade with the company in FY25, supplied ₹153.0 cr. On the Q4 call an analyst said Manorama Africa Ltd was "60% last year" and the CFO said it supplied about 20–25% of raw material in FY25–FY26 [CC-Q4 p.9–10]. On our arithmetic the analyst's 60% fits FY25 only when measured against cost of materials consumed (61.5%) rather than against purchases (41.2%), and the CFO's 20–25% fits FY26. The note on cost of materials shows a shift in what is bought: "other raw materials" (items the note does not name; management says 50–60% of procurement is imported seed and butter [CC-Q1 p.6–7]) rose from ₹43.9 cr to ₹356.7 cr of consumption, or from 11.7% to 40.3% of materials consumed, while consumption of seeds rose from ₹320.1 cr to ₹515.3 cr [AR26 p.232]. The company states that all related-party transactions were in the ordinary course and on an arm's-length basis, and no impairment was recorded on related-party balances [AR26 p.238]; the pages we read contain no price benchmark or independent valuation, so we cannot verify that statement. The auditor's report has no key audit matter on these transactions [AR26 p.196, 198].

5.2 Pay and perquisites of promoter-family executives

₹ lakh	FY25 salary + bonus	FY26 salary + bonus	FY26 total
Ashish Saraf (Chairman and MD)	180.00 + 139.00	285.00 + 700.00	985.00
Vinita Saraf (Vice Chairperson)	96.77 + 56.00	154.80 + 233.00	387.80
Deep Saraf	63.00 + 39.00	67.73 + 163.00	230.73
Shrey Saraf (whole-time director)	63.00 + 17.00	67.73 + 70.00	137.73
Total, four family executives			1,741.26 (₹17.4 cr)

Source: [AR26 p.236–238]. Pay of the four family executives was ₹17.4 cr in FY26 (7.5% of standalone PAT) against ₹6.5 cr in FY25 (5.8%) by our arithmetic. The chairman's ₹7.0 cr performance bonus was 71% of his total pay. Payables to directors at March 2026 were ₹6.87 cr (₹1.62 cr a year earlier) [AR26 p.231]. Other related-party items include rent of ₹30 lakh paid to Vinita Saraf and car hire of ₹22 lakh paid to Manorama Earth [AR26 p.236–238]. Other family members on the payroll are Ritu Saraf (₹23.65 lakh), Agastya Saraf (₹8.75 lakh) and Aditya Saraf (₹5.87 lakh), disclosed as relatives of key managerial personnel [AR26 p.235–236]. Non-family executives received ESOP perquisites (Ashok Jain ₹214.75 lakh, Gautam Pal ₹113.71 lakh, Deepak Sharma ₹87.18 lakh); total ESOP expense was ₹2.35 cr (FY25 ₹15.35 cr) under a 2021 plan with 11,91,980 options pool, 2,58,000 granted and 18,250 outstanding [AR26 p.224–225, 236–238].

5.3 Ownership changes and promoter selling

Trendlyne lists block sales on 24 December 2024 at ₹1,100 by Vinita Saraf (12,22,192 shares), Ritu Saraf (2,97,995), Shrey Saraf (1,48,998) and Agastya Saraf (1,48,998), 18,18,183 shares in all, which is ₹200 cr by our arithmetic; Bank of India Mutual Fund bought 99,000 of them [TL p.11]. On 7 August 2025 Shrey and Agastya Saraf gifted 11,92,281 shares each to Ashish Saraf [TL p.12], which explains why the annual report shows Ashish Saraf's holding up 3.92 percentage points and theirs down 2.00 points each [AR26 p.224–229]. The QIP in July 2026 brought promoter holding to 51.38% (Trendlyne; our arithmetic agrees). Promoter holding of the five holders is 54.32% at 31 March 2026 and personal guarantees from four directors (Ashish, Vinita, Shrey Saraf and Gautam Pal) support the bank borrowings [AR26 p.227–229]. We read the 2024 block sales as a sign that the family took some money off the table at ₹1,100; the shares are 63% above that price today.

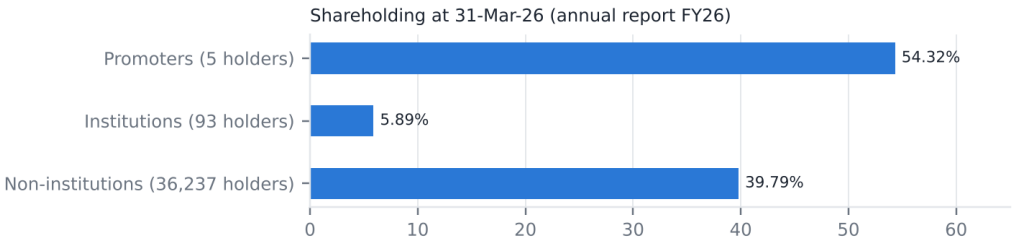


Figure 6: Shareholding at 31 March 2026 (before the QIP). Source: [AR26 p.133]. Trendlyne shows promoters at 51.4%, DII 6.4%, FII 4.2% and public 38.0% in September 2026 [TL p.11].

5.4 Other governance observations

- **Audit.** Singhi & Co. (FRN 302049E) issued an unmodified opinion on FY26 (report dated 11 May 2026), with no key audit matters, an unmodified opinion on internal financial controls, no fraud reported and an operating audit trail [AR26 p.196, 198]. The FY24 auditor was O P Singhania & Co [AR24].
- **Statutory dues.** No undisputed dues over six months; disputed GST ₹19.13 lakh and income tax ₹34.51 lakh (plus ₹0.51 lakh TDS); claims not acknowledged as debt ₹80.84 lakh [AR26 p.200, 238]. These are small relative to PAT.
- **Revised results filing.** On the Q4 call management said results had to be refiled because the wrong file was uploaded inadvertently [CC-Q4 p.10–11]. We read it as an administrative lapse; we note it because the revised figures are the ones we use and we cross-checked them to the audited statements.
- **Supplier quality issue.** An exchange notification around 12 August 2026 described a quality issue with a supplier and a debit note claiming the full amount; details (amount, supplier, whether related) are not in the Q1 FY27 call or in the documents we have [CC-Q1 p.12–13]. We do not factor it into our estimates; we flag it as an open item.

- **Board.** Five whole-time directors (three family members) and four independent directors, with one independent tenure ending in September 2026 and a new independent appointed [BM-0409]. Bank facilities were upgraded by CARE to A+; Stable in FY26 (long-term facilities ₹577.90 cr) [AR26 p.14, 135].
- **Subsidiary funding.** The Board approved in September 2026 further capital increases of up to ₹10 cr each in Benin, Togo and Ivory Coast subsidiaries, and in early September limits of up to ₹20 cr (Ghana), ₹10 cr (Nigeria), ₹15 cr (Burkina SARL), ₹10 cr (Chad), ₹15 cr (Latin America) and ₹5 cr (Mena) [BM-0409; BM-2209]. These are limits, not amounts funded. The May 2026 approval for the Burkina Faso factory (equity up to ₹150 cr and/or loans up to ₹100 cr and/or guarantees up to ₹100 cr) is the largest [AR26 p.90].
- **Sustainability reporting.** The BRSR reports energy of 5,14,660 GJ (FY25 4,90,350), Scope 1 emissions of 1,646 tCO2e and Scope 2 of 14,791 tCO2e, water withdrawal of 26,132 kl and no conflict-of-interest or similar complaints; none of it is externally assured [BRSR].

Our view on governance. Nothing in the audited documents points to misstatement, and the move away from one dominant related supplier is a positive. But a company where more than a third of materials purchases are from related parties, with family pay up more than 2.5 times in a year and nine new overseas entities being funded, deserves a higher risk premium than a plain widely held manufacturer. This is one reason we do not rely on the lowest betas in our sources.

6. Annual report analysis (FY24, FY25, FY26)

6.1 Three annual reports side by side

Item	FY24 (AR24)	FY25 (AR25)	FY26 (AR26)
Revenue from operations, ₹ cr	457.1 (+30.3%)	770.8 (+68.6%)	1,357.7 (+76.1%)
EBITDA (company basis), ₹ cr	73.5 (+30.2%)	191.1 (2.6x)	367.7 (+92.5%)
EBITDA margin	16.1%	24.8%	27.1%
PAT, ₹ cr (margin)	40.1 (8.8%)	112.1 (14.5%)	233.2 (17.2%)
Dividend per share, ₹	0.40	0.60	0.80 (recommended)
Current ratio	1.62 (FY23: 2.82)	1.67	2.00
Debt-equity ratio	1.03 (FY23: 0.37)	1.04	0.51
Debt service coverage ratio	2.44 (3.46)	3.43	6.50
ROE	12.63% (11.69%)	28.05%	40.32%
ROCE	10.62% (12.52%)	19.81%	33.60%
Inventory turnover	3.86 (4.03)	5.25	6.58
Trade receivables turnover	13.13 (11.71)	10.69	17.13
Net profit ratio	8.77% (8.49%)	14.54%	17.18%

Sources: ratio tables in the management discussion of each report [AR24 p.62–63; AR25 p.71–73; AR26 p.85]; comparatives in brackets are as reported by the company. Revenue and PAT are audited standalone figures. Note that the company's debt-equity ratio in FY26 (0.51) is a gross measure and differs from the net debt-to-equity of 0.38 quoted on the Q4 call [AR26 p.85; CC-Q4 p.4].

6.2 FY24 annual report (year to March 2024)

FY24 was an investment-and-inventory year. Revenue grew 30.3% to ₹457.1 cr and PAT 34.7% to ₹40.1 cr, with EBITDA of ₹73.5 cr [AR24 p.62]. The company commissioned a 30,000 tpa refinery and added 30,000 tpa of expeller and 15,000 tpa of interesterification capacity in 2023 [AR26 p.14]. The balance sheet changed shape: the debt-equity ratio rose from 0.37 to 1.03 "due to increase in short term working capital for procurements of raw materials", the debt service coverage ratio fell to 2.44 on higher short-term interest rates, and the current ratio fell from 2.82 to 1.62 [AR24 p.62]. Cash from operations was −₹153.5 cr as inventories rose by about ₹231.5 cr [AR24 p.155]. Finance cost more than doubled to ₹19.9 cr [AR24 p.154]. The company explained the lower inventory turnover as stock built ahead of new capacity [AR24 p.63]. Returns were modest (ROE 12.6%, ROCE 10.6%): the capacity was in place but not yet earning.

6.3 FY25 annual report (year to March 2025)

FY25 was the break-out year. Revenue rose 69% to ₹771 cr (exports 73%), EBITDA 2.6x to ₹191 cr (24.8% margin) and PAT almost doubled to ₹112 cr. The annual report attributes it to rising utilisation, a broader value-added mix and continued customer acquisition, and cites FY21–FY25 compound growth of 40% in revenue, 54% in EBITDA and 65% in PAT [AR25 p.71]. Product mix: CBE about 27% of revenue (about 10% a year earlier), stearin 45%, CBE and stearin together about 72% in one place and "nearly 70%" in another sentence of the same page; de-oiled cake by-product revenue was ₹432 mn [AR25 p.71]. The report said CBE prices are not directly affected by cocoa butter volatility because of diversified sourcing and forward contracts with durations of three months to one year [AR25 p.71]; on the Q1 FY27 call management said contracts run nine to twelve months [CC-Q1 p.6]. The new 25,000 tpa fractionation plant, commissioned in July 2024, lifted fractionation from 15,000 to 40,000 tpa [AR25 p.32]. The subsidiaries were incorporated in FY25, so consolidated accounts start in FY25 [AR25 p.75]. Cash from operations was still negative (−₹58.7 cr) as inventory grew by ₹159.8 cr [AR26 p.205]. Management guided FY26 revenue "above ₹1,050 cr" [AR25 p.71].

6.4 FY26 annual report (year to March 2026)

FY26 combined scale with cash conversion. Revenue rose 76.1% to ₹1,357.7 cr, EBITDA 92.5% to ₹367.7 cr and PAT 108.1% to ₹233.2 cr [AR26 p.85]. Standalone cash from operations was +₹259.4 cr (consolidated +₹250.4 cr), positive again after two negative years; the company repaid a net ₹116.5 cr of short-term borrowings, paid ₹3.6 cr of dividends and received ₹2.7 cr from share issues [AR26 p.205, 260–262]. Inventories still rose (₹710.4 cr from ₹549.0 cr) but trade receivables fell from ₹101.7 cr to ₹56.3 cr and payables rose from ₹14.3 cr to ₹79.7 cr, so the cash cycle shortened [AR26 p.203]. The directors recommended a final dividend of ₹0.80 per share (₹5.05 cr on the post-QIP share count); 523 people were employed; the QIP of up to ₹500 cr was approved by postal ballot on 19 April 2026 and completed on 2 July 2026 [AR26 p.88–90].

Balance-sheet detail worth knowing (standalone, March 2026). Inventories ₹710.4 cr: raw materials ₹421.7 cr (including ₹114.9 cr in transit), finished goods ₹258.9 cr (₹69.3 cr in transit), by-products ₹18.3 cr, chemicals ₹4.1 cr and stores ₹7.5 cr [AR26 p.221]. Trade receivables ₹56.3 cr, more than 99.8% under six months old, with an expected-credit-loss provision of ₹14.28 lakh [AR26 p.222]. Other assets include advances to vendors ₹21.2 cr (FY25 ₹9.5 cr), advances to subsidiaries ₹22.9 cr (₹5.2 cr), balances with revenue authorities ₹18.1 cr (₹26.4 cr) and long-term bank deposits over 12 months ₹47.7 cr (₹4.6 cr) [AR26 p.221]. Other financial liabilities include ₹23.3 cr of forward-contract premium payable (nil a year earlier) and ₹6.9 cr payable to directors [AR26 p.231]. Capital commitments were only ₹0.32 cr at March 2026 (₹15.5 cr a year earlier), consistent with the new projects not having started [AR26 p.239].

Borrowings. Long-term borrowings were ₹32.8 cr after ₹8.0 cr of current maturities; working-capital facilities repayable on demand were ₹313.5 cr (₹426.6 cr), secured on stock and receivables with a second pari passu charge on the Birkoni land, building and plant, and backed by personal guarantees of four directors. The SBI term loan is ₹40 cr at 9.15%, repayable October 2023 to March 2030, with other GECL / ECLGS loans at 9.25% [AR26 p.227–229]. Variable-rate borrowings were ₹352.8 cr (₹478.9 cr); a 70 bp rate move changes PAT by ₹2.47 cr (₹3.35 cr). A 1% rupee move changes PAT by ₹0.24 cr (₹0.05 cr), and the company says it hedges 50–60% of its net exposure [AR26 p.244; CC-Q1 p.16].

6.5 What the annual reports do not tell us

- Customer names: the audited note gives two unnamed customers at 21.05% and 19.49% of FY26 revenue [AR26 p.232], and the annual reports for FY24 and FY25 that we read contain no equivalent disclosure.
- Prices benchmarking for related-party purchases (Section 5).
- Volume and realisation by product; the company reports one segment and gives tonnage only for stearin (about 8,000 t) and CBE (about 7,500 t) in FY26 on the Q4 call [CC-Q4 p.13–14].
- The quantum of the supplier debit note announced in August 2026.

7. Earnings-call analysis

7.1 What was said, call by call

Call	Headline numbers (as stated)	Guidance and themes
Q2 FY26 (17-Oct-25)	H1 revenue ₹612.9 cr (+86.4%), EBITDA ₹156.6 cr (27.2%), PAT ₹105.5 cr (17.2%); Q2 revenue ₹323.3 cr, EBITDA ₹87.7 cr (27.1%), PAT ₹54.9 cr [CC-Q2 p.3–4]	FY26 revenue guidance raised from ₹1,050 cr to ₹1,150 cr+; utilisation 80–85% of 40,000 t; export 58% / domestic 42%; plant shutdown for upgrade in Q3; net debt-equity 0.57 at Sep-25 [CC-Q2 p.3–6, 18]
Q3 FY26 (28-Jan-26)	Q3 revenue ₹363 cr (+73.3%), EBITDA ₹98 cr (27.1%), PAT ₹68 cr (18.8%); 9M revenue ₹975 cr (+81.3%), EBITDA ₹265 cr (27.2%), PAT ₹174 cr (17.8%) [CC-Q3 p.2–3]	FY26 guidance raised to ₹1,300 cr; capacity +30% by debottlenecking to 52,000 t; ₹460 cr capex plan over 2–3 years; FY27 growth "on and above 30%" possible; gross margin 44.3% vs 52.8% in Q2 explained by freight and by-product realisation [CC-Q3 p.2–5, 17–18]
Q4 FY26 (12-May-26)	FY26 revenue ₹1,357–1,358 cr (+76.1%), EBITDA ₹367.7 cr (27.1%), PAT ₹233.2 cr (17.2%), operating cash flow ₹259.4 cr; Q4 revenue ₹382.3 cr, EBITDA ₹102.9 cr (26.9%), PAT ₹59.5 cr (15.6%) [CC-Q4 p.2–3]	EBITDA margin 25–27% "sustainable"; FY27 growth aim 25–30%; working-capital days 125 (151); Q4 forex mark-to-market provision ₹17.05 cr; QIP enabling resolution up to ₹500 cr [CC-Q4 p.3–8, 12, 16–17]
Q1 FY27 (14-Aug-26)	Revenue ₹404 cr (+39.5%), EBITDA ₹106 cr (+42.2%, margin 26.3%, consolidated), PAT ₹79 cr (+67.6%); export:domestic 60:40 [CC-Q1 p.2–4]	No numeric FY27 guidance; utilisation basis 80–85% (take 80%); ₹460 cr capex plan, FY27 capex ₹225–250 cr; QIP of about ₹500 cr completed; Burkina plant payback about 3 years [CC-Q1 p.4–5, 10–12, 15]

Note: the Q1 FY27 call speaks of consolidated figures; our standalone numbers (revenue ₹404.0 cr, EBITDA ₹109.2 cr, PAT ₹81.6 cr) are derived from the results filing [R-Q1]. The Q4 FY26 transcript is of OCR quality; we confirmed every figure we quote against the audited statements or the investor presentation.

7.2 Guidance track record

Topic	What management said, when	What happened
FY26 revenue	₹1,050 cr+ (AR25 / early FY26) → ₹1,150 cr+ (Oct-25) → ₹1,300 cr (Jan-26) [AR25 p.71; CC-Q2 p.3; CC-Q3 p.2–3]	₹1,357.7 cr actual: 29% above the first guide, 4% above the last; management has raised guidance twice and still beaten it
EBITDA margin	25–27% sustainable, yearly basis [CC-Q3 p.8, 10; CC-Q4 p.5]	27.1% in FY26 (top of range); Q1 FY27 27.0% (our derivation on standalone numbers); company-stated consolidated 26.3%
Capacity utilisation FY27	85–90% [CC-Q4 p.13] → 80–85% internal target, stakeholders "should take 80%" [CC-Q1 p.10, 15]	Guidance moderated within one quarter; Q1 FY27 utilisation about 80% [CC-Q1 p.10]
Capex	FY26 ₹70–80 cr; FY27 ₹100–150 cr [CC-Q3 p.8] → FY27 ₹225–250 cr [CC-Q1 p.14]	FY26 actual capex (PPE incl. CWIP and advances) ₹54.1 cr [AR26 p.205]; FY27 guide has risen; the ₹460 cr plan is unchanged
Funding	"No immediate plan for external funding" (Jan-26) [CC-Q3]; "funded internally" (May-26) [CC-Q4 p.6–8]	QIP of ₹500 cr completed in July 2026 [AR26 p.89–90]
Working-capital days	Target about 75 within two years (Oct-25) [CC-Q2 p.10]; 90–100 after new capacity (Jan-26) [CC-Q3 p.14–16]	125 days for FY26 (151 for FY25) [CC-Q4 p.4]; not yet at target
Long-term revenue	Analyst-cited ₹3,500 cr+ by FY30: management "definitely confident" [CC-Q4 p.16–17]; analyst-cited ₹1,600–1,800 cr guide for FY27 (Nov-25) [CC-Q1 p.14]	Our FY27E revenue ₹1,711 cr is inside the ₹1,600–1,800 cr range; our FY29E of ₹2,340 cr is below the FY30 ₹3,500 cr aspiration

Assessment. On revenue and margin the company has under-promised and over-delivered. On funding, capex timing and working-capital days its plans have moved, in the direction of needing more capital than first said. We give credit for the first and do not extrapolate it: FY26 growth came with a 63% to 85% jump in utilisation, which cannot repeat.

7.3 Themes in the questions analysts asked

- **Gross margin volatility.** Analysts noted gross margin falling from 52.8% (Q2 FY26) to 44.3% (Q3) and from 48% to 43% in consolidated Q4; management said 45–50% is the normal range, with freight, container cost and by-product realisation the swing factors, and that EBITDA is unaffected because the effect is passed through other expenses [CC-Q3 p.5; CC-Q4 p.9–10, 14–15]. Q1 FY27 consolidated gross margin was 43.6% (47.4% a year earlier) while EBITDA margin rose to 26.3% from 25.8% [IP-Q1 s.24], so the claim has held in the data we have, though gross margin is now below the 45–50% range.
- **Subsidiary losses.** An analyst computed seven African subsidiaries losing about ₹13.5 cr in FY26, including about ₹6 cr in Q4 [CC-Q4 p.9–10]; for Q4 FY26 and Q1 FY27 the consolidated-minus-standalone gap was about ₹8 cr and ₹3 cr on the Q1 FY27 call [CC-Q1 p.10–11] and ₹7.1 cr and ₹2.9 cr by our arithmetic from the results filing [R-Q1]. Management said earlier one-time costs fell away and that West Africa subsidiaries are procurement vehicles without stand-alone revenue. Our check: FY26 consolidated PAT (₹224.9 cr) was ₹8.3 cr

below standalone (₹233.2 cr) [AR26 p.204, 260–262].

- **Related-party sourcing.** Asked about Manorama Africa Ltd, the CFO said it supplied about 20–25% of raw material in FY25–FY26 [CC-Q4 p.9–10]; the audited note gives 41.2% of purchases for FY25 (61.5% of materials consumed) and 21.3% for FY26 (Section 5).
- **Growth and capacity.** Analysts pressed for numeric FY27 guidance. Management preferred utilisation as the guide: 52,000 t at 100% would give roughly ₹1,800–2,000 cr of revenue, "ballpark, not guidance" [CC-Q2 p.16].
- **Forex.** The Q4 mark-to-market provision on forwards was ₹17.05 cr (₹23.3 cr cumulative for FY26) against ₹9.47 cr of Q4 forex income; Q1 FY27 other income of about ₹16 cr included ₹13 cr of forex gain; 50–60% of net exposure is hedged [CC-Q4 p.3–4, 15; CC-Q1 p.16].

7.4 The same topics across the four calls

Topic	Q2 FY26 (Oct-25)	Q3 FY26 (Jan-26)	Q4 FY26 (May-26)	Q1 FY27 (Aug-26)
Capacity	40,000 → 52,000 t via upgrade; plant shutdown in Q3 [p.3, 6]	+30% by debottlenecking to 52,000 t; 19.4 acres acquired; packing plant and lab commissioned [p.3]	SF2 raised 25,000 → 32,500 t; total 47,500 t; +4,500 t to follow [p.2–3, 13]	47,500 t now; +4,500 t in about Q3 FY27 [p.4, 15]
Utilisation	80–85% (H1) on 40,000 t; about 63% in FY25 [p.4, 18]	About 85% on 40,000 t [p.8]	About 85% in FY26; FY27 target 85–90% [p.13]	About 80% in Q1; FY27 internal 80–85% [p.10, 15]
Pricing and contracts	Contracts 9–12 months; CBE USD 5,500–6,000 per t [p.10, 18]	Cost-plus; CBE not linked to cocoa butter [p.9, 16]	Price gains 5–10% cited [p.8, 13–14]	Pricing "largely stable" [p.6–7]
Margins	H1 EBITDA 27.2% [p.3–4]	Gross margin 44.3% vs 52.8%; EBITDA 25–27% sustainable [p.5, 10]	Gross 45–50% normal; EBITDA 25–27% [p.5, 8]	Consolidated EBITDA 26.3%; other expenses +16% [p.2–4, 8–9]
Working capital	97 days at Sep-25; target about 75 [p.4, 10]	120-day cycle; 90–100 after new capacity [p.6, 14–16]	125 days (151); inventory about ₹710 cr [p.3–4, 6]	Not a focus in our notes
Capex	Burkina MoU; Dekel needs no immediate capex [p.5, 9]	₹460 cr over 2–3 years; FY26 ₹70–80 cr; FY27 ₹100–150 cr [p.3, 6, 8]	₹460 cr; ₹52 cr spent; funded internally [p.2, 4, 6–8]	FY27 ₹225–250 cr; ₹70 cr spent; commissioning about Q3 FY28 [p.5, 11–14]
Funding	–	No immediate plan for external funding	QIP enabling resolution up to ₹500 cr [p.6–8]	QIP of about ₹500 cr completed; FDR about ₹150 cr excluding QIP [p.3–4, 16]
Subsidiaries	8 subsidiaries; MoUs with Burkina and Chhattisgarh governments [p.5, 9]	Dekel: minor revenue started [p.10, 14]	9 subsidiaries; analyst: 7 African subs lost about ₹13.5 cr [p.9–10, 14–15]	Chad subsidiary; Burkina land 10 ha; losses about ₹3 cr [p.3, 10–11]

Page references are to each call's transcript. Dashes mean the topic was not covered in our notes of that call.

8. Financial analysis

8.1 Profit and loss, FY23 to FY26 (audited, standalone)

₹ crore	FY23	FY24	FY25	FY26
Revenue from operations	350.8	457.1	770.8	1,357.7
Cost of materials consumed	198.1	330.8	373.5	885.9
Change in inventories (− = build-up)	17.5	−80.6	24.2	−143.0
Employee benefits	12.8	19.5	47.9	61.3
Other expenses	65.9	113.8	134.2	185.7
EBITDA (excl. other income)	56.5	73.5	191.1	367.7
EBITDA margin	16.1%	16.1%	24.8%	27.1%
Other income	6.1	13.2	18.6	11.4
Depreciation and amortisation	10.9	13.6	22.1	25.6
Finance costs	8.7	19.9	39.2	37.5
Profit before tax	43.1	53.2	148.3	316.0
Tax (effective rate)	13.3 (30.9%)	13.1 (24.6%)	36.3 (24.5%)	82.7 (26.2%)
Profit after tax	29.8	40.1	112.1	233.2
EPS basic, ₹ (face value ₹2)	5.00	6.73	18.80	39.06

Source: audited standalone statements [AR24 p.154; AR25 p.174; AR26 p.204]. EBITDA is our computation (revenue less materials, inventory change, employee and other expenses) and equals the company's reported EBITDA each year (₹73.5 cr, ₹191.1 cr, ₹367.7 cr; FY23 ₹56.5 cr

is consistent with the ₹56.45 cr in the FY24 report) [AR24 p.62; AR26 p.89]. EPS for FY23–FY24 is as reported on the ₹2 face value.

8.2 Margins and cost structure

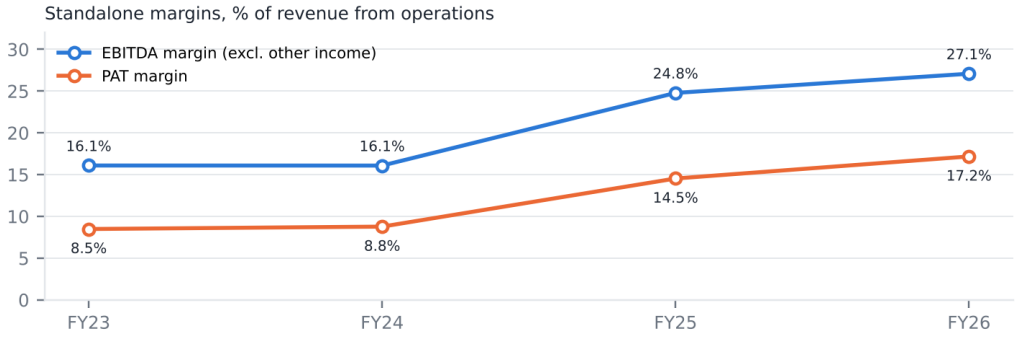


Figure 7: Standalone margins, % of revenue from operations. Source: our computation from audited statements.

Gross margin (revenue less materials and inventory change) was 38.5% in FY23, 45.3% in FY24, 48.4% in FY25 and 45.3% in FY26. It stepped up when CBE and value-added products grew, and eased in FY26 on freight and by-product realisation, as management says. **Employee cost** was 3.7%, 4.3%, 6.2% and 4.5% of revenue; the FY25 peak includes ₹15.4 cr of ESOP expense, which fell to ₹2.4 cr in FY26 [AR26 p.224–225]. **Other expenses** fell from 24.9% of revenue in FY24 to 13.7% in FY26: this is the operating leverage the company talks about, as freight, power and other costs grew more slowly than sales. Other expenses rose 16% year on year in Q1 FY27 on freight and container cost [CC-Q1 p.8–9].

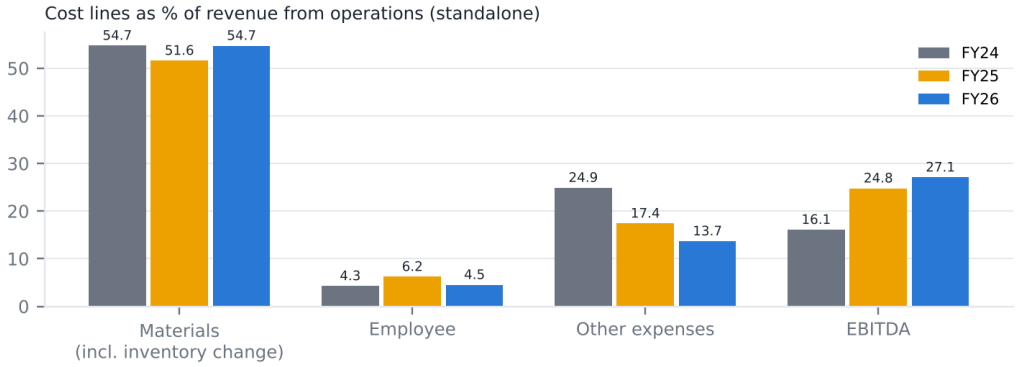


Figure 8: Cost lines as a percentage of revenue from operations (standalone). Source: audited statements.

Finance cost and tax. Finance cost was 27% of EBITDA in FY24 and 10% in FY26 (EBITDA covers finance cost 9.8x, from 3.7x). The effective tax rate was 26.2% in FY26, 24.5% in FY25, 24.6% in FY24 and 30.9% in FY23; we assume 26%.

8.3 Balance sheet

₹ crore (standalone, 31 March)	FY23	FY24	FY25	FY26
Property, plant and equipment	96.6	129.3	174.6	192.4
Capital work in progress	49.5	41.2	2.4	18.2
Inventories	157.7	389.2	549.0	710.4
Trade receivables	27.6	41.8	101.7	56.3
Cash and cash equivalents	1.9	0.4	0.5	7.4
Other bank balances	58.1	87.1	95.7	83.9
Total assets	424.4	736.7	985.0	1,200.5
Total equity	298.3	337.0	461.9	694.9
Long-term borrowings	24.0	50.7	42.9	32.8
Short-term borrowings (incl. current maturities)	86.0	295.6	438.0	321.5
Trade payables	4.0	40.1	14.3	79.7
Net debt (borrowings less cash and other bank balances)	50.1	258.8	384.7	262.9
Net debt ÷ equity	0.17	0.77	0.83	0.38

Source: [AR24 p.153; AR26 p.203]. Net debt is our computation on standalone figures; for FY26 it gives 0.38x equity, equal to the ratio the CFO quoted on the Q4 call [CC-Q4 p.4]. Our DCF uses a wider consolidated definition (also deducting ₹47.7 cr of long-term bank deposits), giving ₹214 cr.

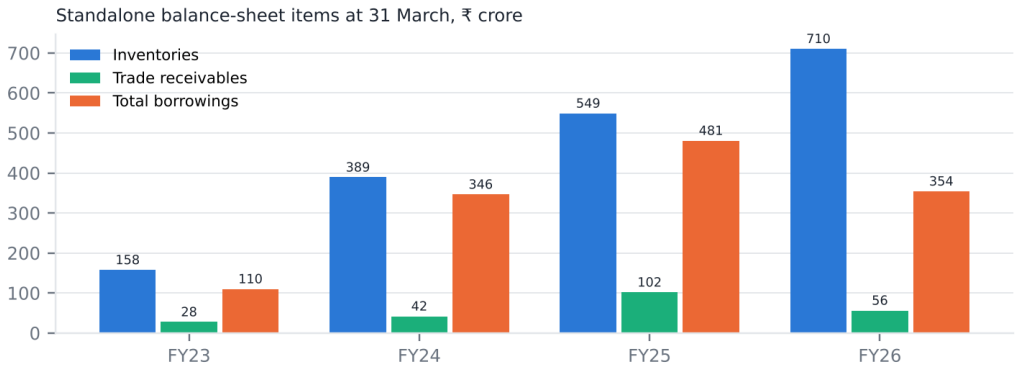


Figure 9: Standalone inventories, trade receivables and total borrowings at 31 March, ₹ crore. Source: [AR24 p.153; AR26 p.203].

8.4 Working capital

Inventory is the swing factor. On closing balances, inventories were 164 days of revenue at March 2023, 311 at March 2024, 260 at March 2025 and 191 at March 2026 (our arithmetic); receivables were 29, 33, 48 and 15 days. The company reports total working-capital days of 242, 181, 170, 151 and 125 for FY22 to FY26 [IP-Q4 s.10]; in FY26 payables rose from ₹14.3 cr to ₹79.7 cr and receivables fell from ₹101.7 cr to ₹56.3 cr. Management expects 90–100 days after the new capacity is running [CC-Q3 p.14–16]. The company's own raw-material stock was ₹421.7 cr at March 2026, of which ₹114.9 cr was in transit, so part of the stock is not yet in the plant [AR26 p.221].

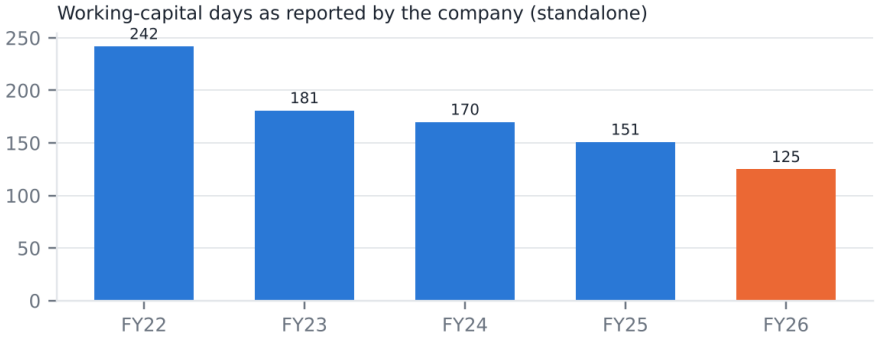


Figure 10: Working-capital days as reported by the company (standalone); FY26 in orange. Source: [IP-Q4 s.10].

8.5 Cash flow

₹ crore (standalone)	FY23	FY24	FY25	FY26	FY23–26
Cash from operations	59.3	−153.5	−58.7	259.4	106.4
Capex (PPE incl. CWIP and advances)	−51.3	−39.0	−31.7	−54.1	−176.1
Free cash flow (our computation)	8.0	−192.5	−90.4	205.3	−69.7
Change in inventories (cash effect)	23.4	−231.5	−159.8	−161.4	−529.3
Profit after tax	29.8	40.1	112.1	233.2	415.2
Net cash from financing	−7.1	214.1	92.8	−165.2	134.6

Source: standalone cash-flow statements [AR24 p.155; AR26 p.205].

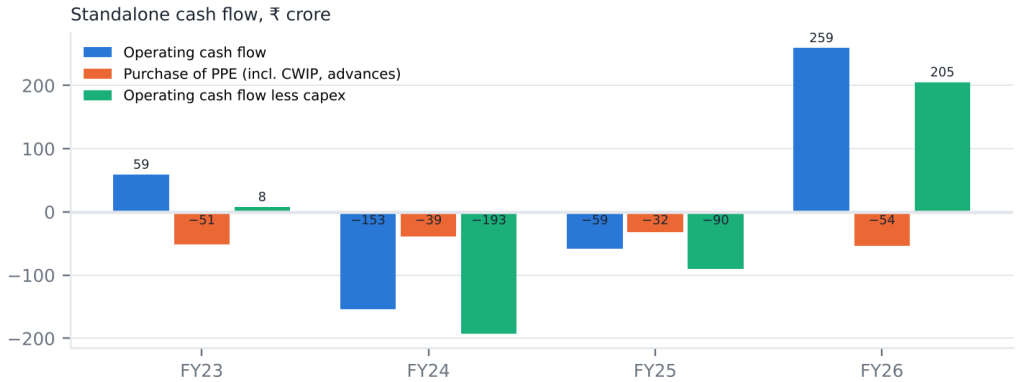


Figure 11: Standalone cash flow components, ₹ crore. Source: [AR24 p.155; AR26 p.205].

Cash conversion, honestly measured. Over FY23–FY26 the company earned ₹415 cr of PAT but generated only ₹106 cr of cash from operations (26% of PAT) and spent ₹176 cr on capex; inventory absorbed ₹529 cr. FY26 alone converted well: operating cash flow was 70% of EBITDA and 111% of PAT. Management expects working-capital

days to fall further as new capacity fills (Section 7); we model working capital at 50% of revenue in FY27E easing to 36% by FY35E (Section 10), which still consumes cash while revenue grows.

8.6 Quality of earnings

- **Other income.** It was 12.5% of PBT in FY25, 3.6% in FY26, and ₹16.0 cr (14.7% of PBT) in Q1 FY27, of which ₹13 cr was a forex gain [AR26 p.204; R-Q1; CC-Q1 p.16]. Excluding other income, Q1 FY27 standalone PBT grew 45.5% (₹93.2 cr against ₹64.1 cr), slower than the 61.3% PAT growth headline.
- **Forex.** Forward-contract mark-to-market is booked in other income; Q4 FY26 had a ₹17.05 cr provision and other income of −₹5.3 cr; the premium payable was ₹23.3 cr at March 2026 [CC-Q4 p.3–4; AR26 p.231]. These swings make quarterly PAT noisy even when EBITDA is smooth.
- **Inventory valuation.** Inventory is about half of annual revenue (₹710.4 cr). The auditor reported no key audit matter and no qualification [AR26 p.196, 198]. We have no evidence of write-downs; the risk is a price fall on seed-derived fats between purchase and sale, partly hedged by cost-plus contracts.
- **Standalone vs consolidated.** Consolidated PAT was ₹224.9 cr against ₹233.2 cr standalone in FY26; consolidated EBITDA was ₹361.3 cr against ₹367.7 cr [AR26 p.89, 260–262]. We value on consolidated EPS.
- **Tax and one-offs.** No exceptional items in FY24–FY26 standalone; effective tax rate normal.

8.7 Detail from the notes to the accounts (standalone)

Other expenses. Other expenses rose 38% against revenue growth of 76%, falling from 17.4% to 13.7% of revenue. The largest line, processing charges, rose 176% to ₹39.7 cr and became 21% of other expenses (11% in FY25). The note does not name the counterparties. The Q4 call said the Brazilian partner (Dekel) is paid per tonne processed [CC-Q4 p.11–12], but the Q3 call described Brazil's revenue contribution as minor [CC-Q3 p.10], so we cannot attribute the ₹25 cr increase to Brazil from our sources; we flag it as a question for management.

₹ crore	FY26	FY25	Change	% of FY26 revenue
Processing charges	39.7	14.4	+176%	2.92%
Power and fuel	36.6	29.6	+24%	2.70%
Freight outwards and other selling expenses	32.5	28.5	+14%	2.39%
Travelling expenses	15.6	12.9	+21%	1.15%
Packaging expenses	10.9	6.6	+66%	0.81%
Labour charges	8.3	6.5	+27%	0.61%
Consumption of stores and spares	8.0	4.6	+74%	0.59%
Legal and professional	7.1	5.8	+21%	0.52%
Miscellaneous expenses	6.9	6.4	+8%	0.51%
Rent	4.9	3.3	+50%	0.36%
Insurance	3.5	3.7	-6%	0.26%
Lab expenses	2.2	2.2	+1%	0.16%
Security charges	1.9	1.3	+38%	0.14%
Corporate social responsibility	1.7	0.9	+83%	0.12%
All other lines (repairs, communication, printing, commission, sales promotion, provisions, bad debts, auditors)	6.1	7.5	-19%	0.45%
Total other expenses	**185.7**	**134.2**	**+38%**	**13.68%**

Source: note 27 [AR26 p.234]. Freight outwards and other selling expenses grew 14% (3.7% of revenue in FY25, 2.4% in FY26); power and fuel grew 24% (2.7% of revenue); packaging grew 66%.

Cost of materials consumed.

₹ crore	Consumption FY26	Consumption FY25	Purchases FY26	Purchases FY25
Seeds	515.3	320.1	562.1	470.9
Chemicals	14.0	9.5	14.8	10.7
Other raw materials (items not named)	356.7	43.9	325.0	75.6
Total	**885.9**	**373.5**	**901.9**	**557.2**

Source: note 22 [AR26 p.232]. Seed consumption includes the change in seed inventory (closing seed stock ₹421.6 cr, of which part is in transit). "Other raw materials" were 40.3% of consumption in FY26 against 11.7% in FY25.

Employee cost, finance cost and other income.

₹ crore	FY26	FY25
Salary, wages and other benefits	54.7	30.9
Gratuity and leave obligation expense	3.2	0.7

₹ crore	FY26	FY25
Employee compensation (ESOP) expense	2.4	15.4
Provident fund, welfare and other	1.0	0.9
Employee benefits, total	61.3	47.9
Interest on working-capital facilities	35.3	36.4
Interest on vehicle loans, leases and others	0.7	0.5
Other borrowing cost	1.5	2.2
Finance costs, total	37.5	39.2
Interest on fixed deposits and others	7.6	7.5
Foreign exchange gain (in other income)	3.4	10.7
Other (sale of PPE, subsidy, misc.)	0.4	0.4
Other income, total	11.4	18.6

Source: notes 21, 24 and 25 [AR26 p.232–233]. Depreciation of ₹25.6 cr includes ₹0.95 cr of amortisation of intangibles, new in FY26 [AR26 p.233]. Customers were allowed credit of 1 to 120 days [AR26 p.232].

9. Unit economics, capacity and segment analysis

9.1 Capacity, utilisation and what a tonne earns

Manorama does not disclose volumes or realisations by product, so conventional unit economics cannot be computed from our sources. What management has said allows a rough triangulation. At about 85% utilisation of a 40,000 tonne fractionation base in FY26 [CC-Q3 p.8], about 34,000 tonnes were processed, which implies roughly ₹3.99 lakh of revenue per tonne processed (₹1,357.7 cr ÷ 34,000 t; our arithmetic, mixing management's approximate utilisation with audited revenue). Management's own "ballpark" for 100% of 52,000 tonnes was ₹1,800–2,000 cr, or ₹3.5–3.8 lakh per tonne [CC-Q2 p.16], which is below the FY26 implied figure, so we treat the management figure as conservative.

Illustration: FY27 revenue implied by utilisation. Capacity is 47,500 tonnes until debottlenecking adds 4,500 tonnes around Q3 FY27, so we use an average of 49,750 tonnes for the year. Holding FY26 revenue per tonne and adding price (management cited price gains of 5–10% in its Q4 commentary [CC-Q4 p.8, 13–14]):

Utilisation of 49,750 t average capacity	No price rise	+5% price	+10% price
75% (37,312 t)	₹1,490 cr	₹1,564 cr	₹1,639 cr
80% (39,800 t)	₹1,589 cr	₹1,669 cr	₹1,748 cr
85% (42,288 t)	₹1,689 cr	₹1,773 cr	₹1,857 cr

Source: our arithmetic from management statements; not guidance. Our FY27E revenue of ₹1,711 cr sits at about 80% utilisation with 5–10% price, which is the Q1 FY27 call's basis. It also requires Q2–Q4 revenue to average ₹435.6 cr a quarter, 7.8% above Q1 FY27's ₹404.0 cr.

9.2 The ₹460 cr expansion: what management says it earns

Management's plan has four parts: a 75,000 t cocoa-butter alternative (CBA) plant, a 75,000 t solvent fractionation plant (including interesterification), a 90,000 t refinery, all in India (forward integration), and a 90,000 t seed-processing plant in Burkina Faso (backward integration); the total is about ₹460 cr, with major projects targeted for FY28 and fuller impact in FY29 [IP-Q4 s.27; CC-Q1 p.5, 7]. Of this, ₹330–340 cr is forward integration expected to deliver more than 6x asset turnover (5x on the Q3 call), and the Burkina plant costs ₹120–130 cr with a payback of about three years [CC-Q4 p.6–8; CC-Q3 p.6; CC-Q1 p.5, 14]. About ₹70 cr had been spent by August 2026 and ₹220 cr more was planned for FY27 [CC-Q1 p.11–12].

Arithmetic on the claim. Asset turns of 5x to 6x on ₹330–340 cr imply ₹1,650–2,040 cr of added revenue at full utilisation, which together with FY26 revenue of ₹1,358 cr is the arithmetic behind an aspiration of more than ₹3,500 cr by FY30 that an analyst cited and management said it was "definitely confident" about [CC-Q4 p.16–17]. Our base case reaches ₹2,761 cr in FY30 (cumulative FY26–30 growth of 2.0x against 2.6x). We use a more conservative path because plants take 9–18 months to build [CC-Q2 p.16], new product approvals take time, the company has not yet operated the new product lines, and 6x asset turns on new plants compare with 5.1x in FY25 and 7.4x in FY26 on the existing asset base [IP-Q4 s.22].

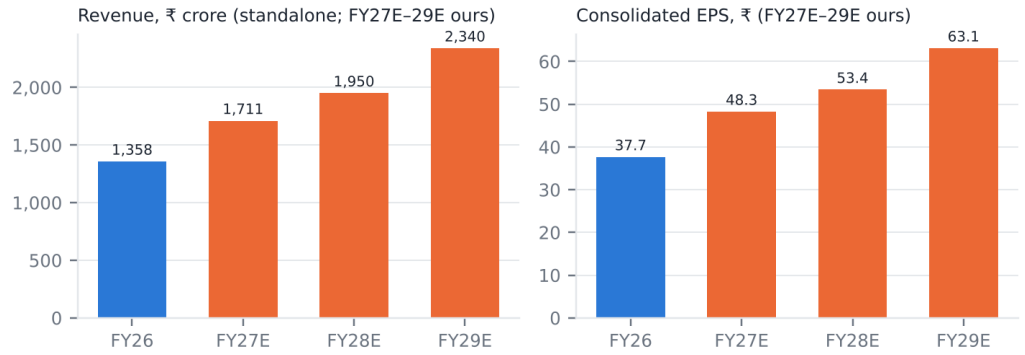


Figure 12: Revenue and consolidated EPS, FY26 reported and FY27E–FY29E (our estimates, orange). Source: our model.

9.3 Geography and customers

Product sales to customers outside India were ₹775.4 cr in FY26 (57.1% of revenue) against ₹559.3 cr in FY25 (72.6%); domestic sales rose 2.8x to ₹577.9 cr [AR26 p.231]. The sources do not say which customers drove the domestic jump. Management said exports to the US are 2–3% of revenue and Middle East exposure 2–3% [CC-Q2 p.8; CC-Q4 p.8–9]. Two customers were 21.05% and 19.49% of FY26 revenue (40.5% together) [AR26 p.232]; management's "top ten about 40%" [CC-Q2 p.6] is therefore best read as an understatement.

9.4 Overseas subsidiaries as a cost centre

The nine subsidiaries added little revenue in FY26: consolidated revenue (₹1,366.7 cr) exceeded standalone (₹1,357.7 cr) by only ₹9.0 cr [AR26 p.204, 260], and the parent sold ₹2.5 cr of goods to Manorama Latin America [AR26 p.236–237]. The parent injected ₹6.6 cr of equity into Ghana and ₹3.1 cr into Latin America in FY26 [AR26 p.236–237], and the Board has authorised further capital increases of ₹5–20 cr per entity [BM-0409; BM-2209]. Consolidated PAT was ₹8.3 cr below standalone in FY26 and ₹2.9 cr below in Q1 FY27. We model subsidiary losses of ₹12 cr, ₹10 cr and ₹6 cr in FY27E–FY29E; they matter little to value (about ₹1.6 of FY28E EPS) but are a measure of how quickly the overseas build-out pays back.

10. Forecasts and scenarios

10.1 Base-case assumptions and estimates

Assumption (our estimates)	FY27E	FY28E	FY29E	Basis
Revenue growth (standalone)	26.0%	14.0%	20.0%	Q1 FY27 +39.5%; capacity to ~52,000 t in Q3 FY27; new plants from Q3 FY28 with fuller effect in FY29 [CC-Q1; IP-Q4 s.27]
EBITDA margin	26.5%	26.0%	26.0%	Management: 25–27% sustainable [CC-Q4 p.5]; FY26 27.1%
Depreciation, ₹ cr	28	38	60	Q1 FY27 run-rate ₹24.5 cr a year; new plants add from FY28–FY29
Other income, ₹ cr	30	30	30	Interest on ~₹130–150 cr FDR plus QIP cash; forex excluded beyond a small amount
Finance cost, ₹ cr	33	30	32	FY26 ₹37.5 cr; QIP repays working-capital debt; Q1 FY27 ₹9.9 cr
Tax rate	26%	26%	26%	FY26 effective 26.2%
Subsidiary losses, ₹ cr	12	10	6	FY26 gap ₹8.3 cr; Q1 FY27 ₹2.9 cr
Dividend per share, ₹	0.80	1.00	1.20	FY26 ₹0.80 recommended; payout about 2% of EPS
Capex, ₹ cr	235	150	60	Guided FY27 ₹225–250 cr; ₹460 cr plan
Net working capital ÷ revenue	50%	47%	44%	FY26: ₹702 cr ÷ ₹1,358 cr = 52%

The model starts from an FY26 working-capital base of ₹702.1 cr (52% of revenue). On inventories, receivables and payables alone the standalone figure is ₹686.9 cr; the remainder is other operating items in our derivation, which is not a reported number. A base ₹15 cr lower would add about ₹2 to the per-share DCF.

₹ crore	FY26A	FY27E	FY28E	FY29E
Revenue (standalone)	1,357.7	1,710.7	1,950.2	2,340.2
growth	76.1%	26.0%	14.0%	20.0%
EBITDA	367.7	453.3	507.1	608.5
margin	27.1%	26.5%	26.0%	26.0%
Depreciation	25.6	28.0	38.0	60.0
Other income	11.4	30.0	30.0	30.0
Finance cost	37.5	33.0	30.0	32.0

₹ crore	FY26A	FY27E	FY28E	FY29E
Profit before tax	316.0	422.3	469.1	546.5
PAT (standalone)	233.2	312.5	347.1	404.4
Subsidiary losses	8.3	12.0	10.0	6.0
PAT (consolidated)	224.9	300.5	337.1	398.4
Weighted shares (cr)	5.971	6.225	6.312	6.312
EPS consolidated (₹)	37.67	48.28	53.40	63.11

FY27E weighted shares reflect the QIP (2 July 2026) and ESOP allotments; the FY28E–FY29E count is 6,31,22,390. FY26A consolidated PAT and EPS are from [AR26 p.260–262]. Estimates are ours; the company gives no numeric guidance for FY27.

10.2 How our numbers compare with the Street

	Our FY27E	Street FY27E	Ours vs Street	Our FY28E	Street FY28E	Ours vs Street
Revenue, ₹ cr	1,711	1,661.0	+3.0%	1,950	2,002.5	-2.6%
EBITDA, ₹ cr	453	431.9	+5.0%	507	505.4	+0.3%
Net income (consolidated), ₹ cr	301	290.8	+3.3%	337	320.5	+5.2%
EPS, ₹	48.3	48.0	+0.6%	53.4	55.5	-3.8%

Street figures are the average of three analysts as shown on the Trendlyne forecaster page dated 19-Oct-26 [TL p.9–10]; we do not know which analysts or their dates, and Trendlyne does not state whether revenue is operating or total. Our figures are within about 5% of the Street on every line.

Implication. Earnings expectations are not what separates us from the Street. The Street's average target of ₹2,110.5 equals 38.0x its own FY28E EPS of ₹55.5 and 44.0x its FY27E EPS; ours is 22.4x our FY28E EPS. The question for investors is whether a roughly 38x multiple on FY28E earnings can be earned by a company with a 27% margin, rapid capacity expansion and the governance items in Section 5; our model says it needs a cost of equity near 8.5% (we use 12.5%) or a steady-state margin above 40% (the best the company has reported is 27.1%).

10.3 Scenarios

Scenario	Growth FY27E / 28E / 29E	EBITDA margin FY27E–29E	Steady-state margin	Subsidiary losses	DCF today	DCF 12M
Bear	18% / 8% / 10%	24% / 21% / 20%	17%	×1.3	₹394	₹443
Base	26% / 14% / 20%	26.5% / 26% / 26%	24%	base	₹795	₹895
Bull	30% / 20% / 26%	27% / 27% / 27%	26%	base	₹1064	₹1197

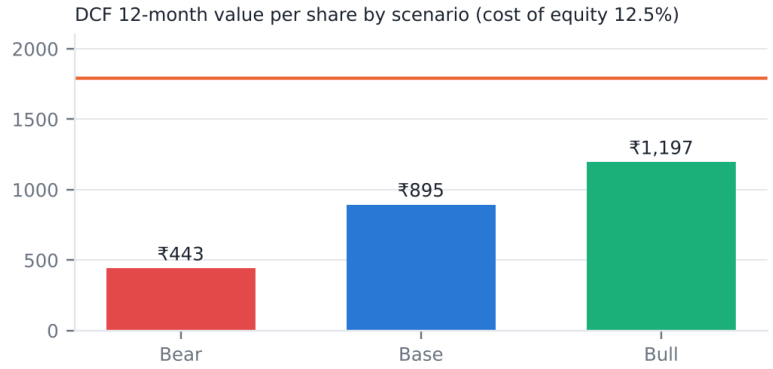


Figure 13: DCF 12-month value per share by scenario against the current price (cost of equity 12.5%). Source: our model.

Bear assumes utilisation stalls, price competition or raw-material costs compress margins toward the 16% earned in FY23–FY24, and growth halves. **Bull** assumes the ₹460 cr plan is delivered on time at the guided asset turns and margins hold at 27%. Even our bull case (₹1,197 on the 12-month DCF) is below today's price at a 12.5% cost of equity; it needs a lower discount rate to justify the market, which is why Section 14 shows beta sensitivity.

11. Valuation

11.1 Approach

We value Manorama two ways and weight them 50:50. The DCF captures the long reinvestment runway (the company is adding capacity for five more years) and the cost of capital; the P/E leg captures how Indian investors price growth compounders and avoids over-reliance on a distant terminal value. We do not use EV/EBITDA or peer multiples as a third leg because the only peer set in our sources (Trendlyne's) contains food and beverage companies with P/E multiples from 5.9x to 41.8x and no CBE producer [TL p.4]. Rating bands are applied to the expected total return to the 12-month target including dividend: Buy above +15%, Sell below −10%, Hold in between.

11.2 Cost of equity

Beta source	Value	Window / note
Simply Wall St	0.26	Page updated 13-Aug-26; average weekly price movement 4.8% [SWS]
Trendlyne	0.35 / 0.53 / 1.31 / 1.18	1 month / 3 months / 1 year / 3 years, 19-Oct-26 [TL p.7]
Sharpely	1.31	Undated FAQ on a page dated 19-Oct-26 [SHP]; same as Trendlyne's 1-year
Our base case	1.00	Below the 1-year and 3-year Trendlyne betas, above the shortest windows

Cost of equity = risk-free rate 5.42% + beta × equity risk premium 7.08% = 12.5% at beta 1.0. The risk-free rate and premium are the same Damodaran-based inputs we used in our earlier Maruti Suzuki and Ashok Leyland initiations, so the three reports are comparable. We use 1.0 rather than the lowest figure for three reasons: the 0.26 reading comes from a source whose method and window we cannot see; the 1-month and 3-month betas are short and noisy for a stock that fell 6.3% on the day of our price; and the longer Trendlyne windows (1.18 and 1.31) point to a higher beta. The conflict is listed in Section 15 and the effect of every beta from 0.26 to 1.5 is shown in Section 14. We apply no size or governance premium separately.

11.3 Discounted cash flow

The model forecasts free cash flow to the firm (FCFF) for 15 years, FY27E to FY41E, from the FY26 balance sheet date, with end-of-year discounting. Revenue grows 26%, 14%, 20% and 18% in FY27E–FY30E, then fades to 12%, 10%, 9%, 8%, 7%, 6% and finally 5% a year from FY37E. EBITDA margin is 26.5%, 26% and 26% for FY27E–FY29E, then fades linearly to a 24% steady state by FY34E, below FY26's 27.1% to allow for competition and the dilution from new, lower-utilisation capacity. Depreciation follows the capex programme; capex is ₹235 cr in FY27E (inside the ₹225–250 cr guidance), ₹150 cr in FY28E and ₹60 cr in FY29E (₹445 cr over three years, against about ₹390 cr of the ₹460 cr plan still to be spent after the ₹70 cr already incurred, plus maintenance) and thereafter 1.5% of sales plus 20% of incremental sales. Net working capital falls from 52% of sales to 36% by FY35E. Tax is 26%; subsidiary losses are deducted in FY27E–FY29E. The terminal value uses 5% growth, below India's 8.6% nominal GDP growth in FY26 [AR26 p.66], and is 44% of enterprise value.

DCF bridge	₹ crore	₹ per share
PV of FCFF, FY27E–FY41E	2,491	395
PV of terminal value	1,929	306
Enterprise value	4,420	700
Plus: QIP proceeds ₹500 cr less net debt ₹214 cr (31-Mar-26)	286	45
Equity value at 1-Apr-26 (÷ 6.312 cr post-QIP shares)	4,706	746
Rolled forward 201 days to 19-Oct-26 at 12.5%		795
12-month value (× 1.125)		**895**

Source: our model (Appendix A). The share count is post-QIP, so the QIP cash is included in equity value and the dilution is in the denominator. Net debt is consolidated borrowings ₹354.6 cr plus leases ₹1.2 cr less cash ₹9.9 cr, bank balances ₹83.9 cr and long-term bank deposits ₹47.7 cr [AR26 p.260–262, 221].

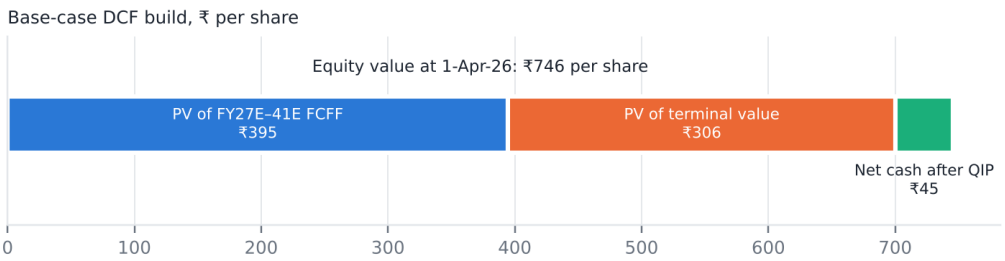


Figure 14: Base-case DCF build, ₹ per share. Source: our model.

11.4 P/E leg

We apply 28x to FY28E consolidated EPS of ₹53.40, giving ₹1,495 as the 12-month value (a forward multiple on the earnings of the year that begins in April 2027). Our EPS grows at a 19% compound rate from FY26 to FY29E, so 28x is about 1.5 times that growth rate; it is below the 41.7x trailing multiple we compute, the 45.8x Trendlyne shows and the roughly 38x implied by the Street target. The multiple is our judgement: each 4 turns changes the P/E leg by ₹214 and the target by about ₹107.

11.5 Blend, target and rating

	₹ per share
DCF, 12-month value (50%)	894.9
P/E leg: 28x FY28E EPS (50%)	1495.3
Blended value	1195.1
Target price (rounded to ₹5)	1,195
Price change to target	-33.3%
Dividend yield on price (FY26 final ₹0.80)	0.04%
Total return to target	-33.2%
Rating bands	Buy > +15%; Hold −10% to +15%; Sell < −10%
Rating	**SELL**

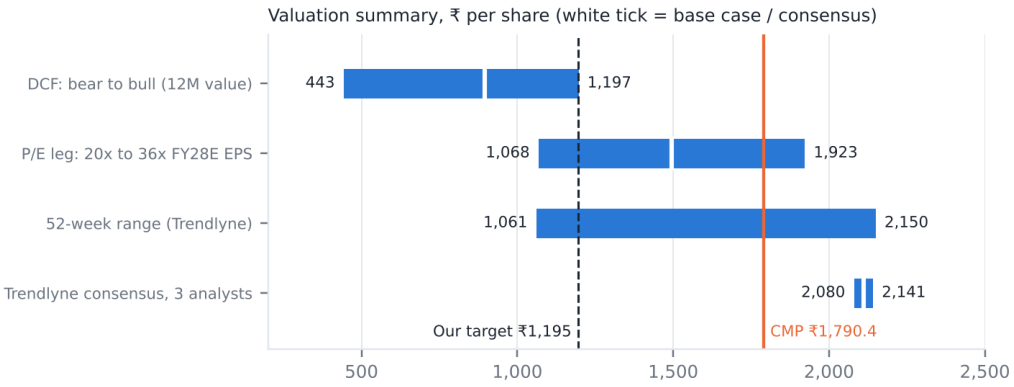


Figure 15: Valuation summary, ₹ per share: DCF (bear to bull), P/E leg (20x–36x), 52-week range and Trendlyne consensus. Source: our model; TL p.1, 9.

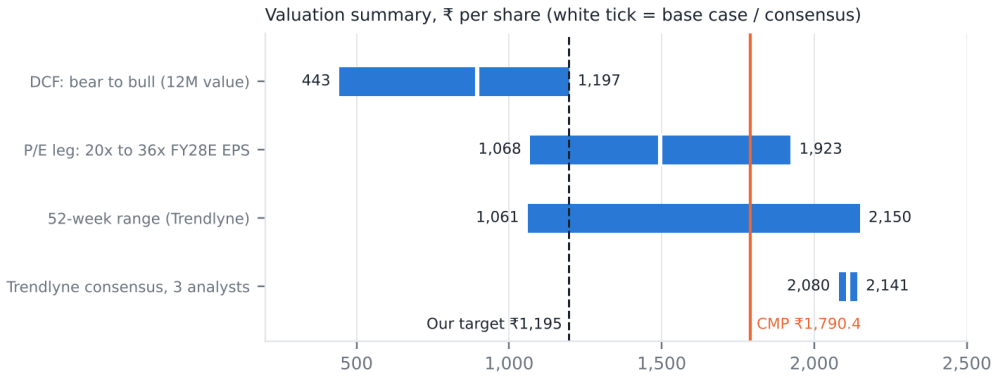
11.6 What the current price implies

At ₹1,790.40 the enterprise value is about ₹11,016 cr (market cap less pro-forma net cash of ₹286 cr): 24.3x our FY27E EBITDA, 21.7x FY28E and 18.1x FY29E. The P/E multiples are 37.1x, 33.5x and 28.4x on our FY27E–FY29E EPS. A reverse DCF shows that, holding our other inputs, the market price is reached only with (a) a cost of equity of 8.5% (beta of about 0.44) or (b) a steady-state EBITDA margin above 40%, since 40% gives only ₹1,343. Trendlyne's own valuation score is 34 of 100 ("mid valuation"), and it notes that the P/E has spent 94.7% of the time below the current 45.8x on its own measure [TL p.5]; we mention these as context, not as support for our rating.

11.7 Price levels at which the rating changes

Holding our target at ₹1,195, the total return is above −10% (Hold) at a price below about ₹1,329 and above +15% (Buy) at a price below about ₹1,040. On the other side, the target would have to rise to about ₹1,611 for the stock to be a Hold at the current price, which needs a DCF 12-month value of about ₹1,730 (a beta of about 0.5).

11.8 Third-party indicators (Trendlyne, 19 October 2026)



Valuation summary, ₹ per share. Source: our model; Trendlyne consensus (3 analysts); Trendlyne 52-week range.

	Manorama	Varun Bev.	EID Parry	Avanti Feeds	Sanstar	HMA Agro	SKM Egg
P/E TTM	45.8	41.8	25.8	18.6	40.6	5.9	9.8
Forward P/E	37.3	41.5	12.7	22.7	–	–	–
Price / book	15.0	15.3	1.3	2.9	2.5	1.3	2.6
EV / EBITDA	18.9	30.7	5.7	16.6	25.6	6.0	4.3
Price / sales TTM	7.6	5.9	0.3	1.5	2.2	0.2	1.4
PEG TTM	0.4	2.2	−0.5	−2.2	0.6	0.0	0.1

Source: [TL p.4]. Trendlyne's peer set is food and beverage companies, none a CBE producer; we show it for context, not as a valuation anchor. Manorama's own multiples on Trendlyne's basis (45.8x P/E, 15.0x P/B, 18.9x EV/EBITDA) differ from ours, which use our own arithmetic on reported figures.

Scores and technicals. Trendlyne rates the stock 75 on durability (high financial strength), 34 on valuation (mid) and 60 on momentum (neutral), and it passes 13 of 21 items on its checklist [TL p.1, 8]. Items it fails include consistent profit and sales growth over eight quarters, high Piotroski score, and trading above all moving averages; items it passes include low debt, strong ROE, positive net cash flow and rising institutional holding [TL p.8]. The stock has returned 16.9% over one year and 785.3% over five [TL p.1]; it is 16.7% below its 52-week high of ₹2,149.5 and 68.8% above its low of ₹1,060.6 (our arithmetic). Average daily volume is 208.5 thousand shares [TL p.1].

12. Risks

12.1 Risks to the business

Risk	Evidence	Why it matters
Single plant and single segment	One integrated site at Birkoni; one reported segment [AR26; R-Q1 p.7]	A stoppage, fire or regulatory action would affect all revenue
Seed supply, seasonality and export rules	Seasonal forest collection; 50–60% of seed and butter imported; Nigeria temporary shea export ban [IP-Q4 s.18–19; CC-Q1 p.6–7]	Volume, cost and inventory (₹710 cr) depend on collection seasons and trade rules
Related-party sourcing	₹351 cr of purchases from related parties in FY26, 38.9% of purchases (BRSR: 39%; FY25 44%) [AR26 p.235–237; BRSR]	Pricing and continuity depend on entities the family influences; company states arm's length but gives no benchmark
Customer concentration	Two customers were 21.05% and 19.49% of FY26 revenue [AR26 p.232]; qualification-based stickiness [IP-Q4 s.14]	Loss, dual-sourcing or re-pricing by either buyer would be material to earnings; also supports volumes while the contracts last
Regulation of CBE use	EU and India cap CBE at 5% in chocolate [IP-Q1 s.8]	A change in the cap or labelling rules would change the addressable market
Foreign exchange	57% exports; 50–60% hedged; ₹23.3 cr MTM provision in FY26; 1% rupee move = ₹0.24 cr of PAT [CC-Q4; AR26 p.244]	Quarterly earnings are noisy; hedging cost shows as other income and premium payable
Execution of ₹460 cr capex	Four new plants, one in Burkina Faso with approvals pending [IP-Q4 s.27; CC-Q1 p.3, 5]	Delays or lower asset turns would lower our FY29E–FY30E growth; West African country risk
Working capital and funding	Inventory 52% of revenue; short-term borrowings ₹321 cr; QIP of ₹500 cr raised [AR26 p.203, 227–229]	A cocoa-price or demand shock would strand inventory; QIP reduces refinancing risk
Utilisation and growth	FY27 utilisation guidance fell from 85–90% to about 80% in one quarter [CC-Q4; CC-Q1]	Growth beyond FY27 depends on new capacity commissioning
Overseas subsidiaries	Nine entities, losses of about ₹8 cr in FY26; further funding approved [BM-0409; BM-2209]	Capital absorbed with uncertain returns
Supplier quality issue	Debit note for the full amount notified in Aug-26; details not disclosed [CC-Q1 p.12–13]	Possible loss or dispute not yet quantified
Key people	Chairman and family hold senior roles; Dr. Krishnadath Bhaggan leads R&D [IP-Q4 s.31, 39]	Dependence on a small group

12.2 Risks to our Sell rating (reasons we could be wrong)

- **Beta.** If the true beta is 0.6 (cost of equity 9.7%) the DCF 12-month value is ₹1,449 and the blend ₹1,470; at 0.26 (7.3%) they are ₹3,029 and ₹2,260, a Buy. Section 14 shows the table.
- **Growth beyond our forecast.** If the ₹460 cr plan delivers management's asset turns, FY30 revenue could be ₹3,500 cr (management's aspiration) against our ₹2,761 cr, and we would be too low on FY29E–FY30E earnings.
- **Multiple persistence.** Scarce, high-ROE niche compounders can hold premium multiples for years; our P/E leg of 28x could prove too low. The Street's ₹2,111 target implies 38x FY28E.
- **Momentum and flows.** Institutional holding rose from 5.85% to 10.56% in the September 2026 quarter [TL p.11]; continued buying could keep the price above value.
- **Short-term price.** Trendlyne's momentum score is 60 (neutral) and it lists the stock as the highest-momentum name in its peer set [TL p.6]; a Sell rating does not predict near-term moves.

13. Catalysts and monitoring list

13.1 Catalysts

Event	Timing	What we would look for
Q2 FY27 results and call	Date not given in our sources; the Q2 FY26 call was on 17 Oct 2025 [CC-Q2]	EBITDA margin in the 25–27% band; utilisation; gross margin back above 45%; other income ex-forex
Debottlenecking to about 52,000 t	Management: about Q3 FY27, cost ₹5–6 cr [CC-Q1 p.4, 15]	Capacity on stream and revenue per tonne
Capex execution	₹225–250 cr in FY27; commissioning from about Q3 FY28 [CC-Q1 p.5, 11–12]	Spend against plan; approvals for Burkina Faso
Dekel (Brazil) ramp	Ramp over 2–4 quarters from trial production [CC-Q1 p.5, 8, 14]	First revenue numbers from Latin America
Resolution of the supplier debit note	Notified about 12 Aug 2026 [CC-Q1 p.12–13]	Amount, supplier identity, any related-party link
Further subsidiary capital increases	Board approvals Sep-26 [BM-0409; BM-2209]	Amounts actually funded; subsidiary losses (Q1: about ₹3 cr)
Shareholding data for the Dec-26 quarter	Quarterly filing	Whether institutions keep adding after 5.85% → 10.56%; promoter holding

13.2 Monitoring list

Metric	Latest	Signal for our view
Standalone EBITDA margin (quarterly)	27.0% (Q1 FY27, derived); 25–27% guided	Below 25% would move us toward our bear case
Gross margin (consolidated)	43.6% in Q1 FY27 vs 45–50% normal range [IP-Q1 s.24]	Sustained below 43% would challenge the "pass-through" explanation
Fractionation utilisation	About 80% in Q1 FY27 [CC-Q1 p.10]	85%+ on 52,000 t supports bull case
Working-capital days	125 for FY26 [CC-Q4 p.4]	Below 100 supports cash conversion
Related-party purchases ÷ total purchases	38.9% in FY26 (BRSR 39%); FY25 43.6%	Falling share is positive; rising share a flag
Share of top two customers in revenue	40.5% in FY26 (21.05% + 19.49%) [AR26 p.232]	A decline signals diversification; an increase raises the risk
Consolidated minus standalone PAT	₹8.3 cr in FY26; ₹2.9 cr in Q1 FY27	Widening indicates subsidiary losses
Forex gain/loss in other income	₹13 cr gain in Q1 FY27	Large swings distort quarterly PAT
Share price vs our Hold/Buy thresholds	₹1,790 vs ₹1,329 (Hold) and ₹1,040 (Buy)	We would revisit the rating at or below these levels

14. Sensitivity analysis

14.1 Beta and the rating

Beta	Cost of equity	DCF today (₹)	DCF 12M (₹)	Blended value (₹)	Target (₹)	Total return	Rating
0.26	7.3%	2,824	3,029	2,262	2,260	+26.3%	Buy
0.60	9.7%	1,322	1,449	1,472	1,470	-17.9%	Sell
1.00	12.5%	795	895	1,195	1,195	-33.2%	Sell
1.20	13.9%	660	751	1,123	1,125	-37.1%	Sell
1.31	14.7%	602	691	1,093	1,095	-38.8%	Sell
1.50	16.0%	523	607	1,051	1,050	-41.3%	Sell

P/E leg held at 28x FY28E EPS (₹1,495). Rating bands as in Section 11. Break-even betas, holding all else: Buy below about 0.31, Sell above about 0.50, Hold in between. A beta of 0.26 (Simply Wall St) gives Buy, 0.35 (Trendlyne 1-month) gives Hold, and 0.53, 1.18, 1.31 and our 1.0 give Sell.

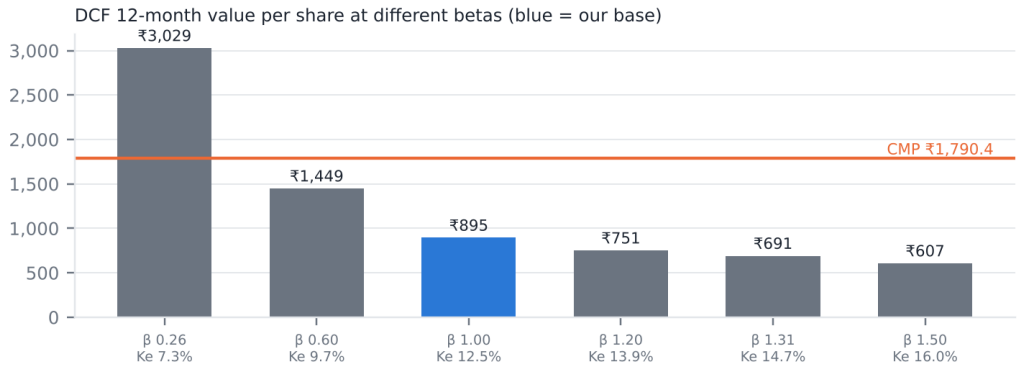


Figure 16: DCF 12-month value per share at different betas against the current price (our base in blue). Source: our model.

14.2 DCF value today: cost of equity and terminal growth

Cost of equity \ terminal growth	4%	5%	6%
10.5%	₹1,017	₹1,110	₹1,245
11.5%	₹867	₹928	₹1,011
12.5%	₹754	₹795	₹849
13.5%	₹666	₹695	₹731
14.5%	₹595	₹616	₹641

Source: our model. The 12.5% row is the base case. A 10.5% cost of equity with 6% terminal growth gives ₹1,245 today, still 30% below the price.

14.3 Steady-state margin and P/E multiple

Steady-state EBITDA margin	18%	20%	22%	24% (base)	26%	28%
DCF value today (₹)	590	659	727	795	864	932

P/E on FY28E EPS	20x	24x	28x (base)	32x	36x
P/E-leg value (₹)	1,068	1,282	1,495	1,709	1,923
Blended target at beta 1.0 (₹)	980	1,090	1,195	1,300	1,410
Total return	-45%	-39%	-33%	-27%	-21%

14.4 Target price: P/E multiple and beta together

Beta \ P/E on FY28E EPS	20x	24x	28x	32x	36x
0.26	₹2,050 H	₹2,155 B	₹2,260 B	₹2,370 B	₹2,475 B
0.60	₹1,260 S	₹1,365 S	₹1,470 S	₹1,580 S	₹1,685 H
1.00	₹980 S	₹1,090 S	₹1,195 S	₹1,300 S	₹1,410 S
1.20	₹910 S	₹1,015 S	₹1,125 S	₹1,230 S	₹1,335 S
1.31	₹880 S	₹985 S	₹1,095 S	₹1,200 S	₹1,305 S
1.50	₹835 S	₹945 S	₹1,050 S	₹1,160 S	₹1,265 S

B = Buy, H = Hold, S = Sell on total return to target at today's price. Only low betas combined with high multiples produce Hold or Buy.

14.5 FY28E EPS: growth and margin

FY27E growth \ EBITDA margin (FY28E)	20%	23%	26%	27%	28%
15%	₹35.7	₹42.0	₹48.2	₹50.3	₹52.4
20%	₹37.5	₹44.0	₹50.6	₹52.8	₹54.9
26%	₹39.7	₹46.5	₹53.4	₹55.7	₹58.0
30%	₹41.1	₹48.2	₹55.3	₹57.6	₹60.0
35%	₹43.0	₹50.3	₹57.6	₹60.1	₹62.5

FY28E growth is held at 14%, depreciation ₹38 cr, finance cost ₹30 cr, other income ₹30 cr, tax 26%, subsidiary loss ₹10 cr. The base case (26% growth, 26% margin) is ₹53.4. A FY28E EPS near the Street's ₹55.5 corresponds in this grid to about 30% FY27E growth at a 26% margin.

15. Evidence register: sources, conflicts and gaps

15.1 Document register

Document	Status	How used / limitation
Annual report FY26 (AR26)	Read; text extractable	Audited standalone and consolidated statements, notes, MD&A, directors' report, shareholding, auditor's report. MD&A capacity table inconsistent with text (see 15.2)
Annual report FY25 (AR25)	Read; text extractable	FY25 and FY24 comparatives, MD&A, ratios, July 2024 capacity commissioning
Annual report FY24 (AR24)	Read; text extractable	FY23–FY24 audited statements, ratios, revenue split
Q1 FY27 results filing (R-Q1)	Read	Quarterly standalone and consolidated figures; EBITDA derived by us
Investor presentation Q1 FY27 (IP-Q1)	Read; two slides unusable	Consolidated P&L and balance sheet, capacity, capex. The ROE/ROCE slide and the shareholding-pattern labels were garbled in extraction and are not used
Investor presentation Q4 FY26 (IP-Q4)	Read	Process description, capacity history, quarterly series, customers
Call transcripts Q2 FY26, Q3 FY26, Q4 FY26, Q1 FY27	Read; Q4 is OCR-quality	Management commentary; every figure we use from Q4 was confirmed to audited data or the presentation
BRSR FY26	Read	Workforce, energy, water, emissions; no external assurance
Board outcomes 4-Sep-26 and 22-Sep-26	Read	Director appointment; subsidiary capital increases
Trendlyne stock report, 19-Oct-26	Read	Price, 52-week range, beta windows, consensus, shareholding trend, block deals
Simply Wall St and Sharpely web pages	Fetched 19-Oct-26	Beta cross-check only
Annual Return 2025 and draft Annual Return 2026 (statutory filings)	Not used	We relied on the annual reports for shareholding and directors
Outcome of 21st AGM (voting results)	Not available to us	Not used

15.2 Conflicts between sources, and how we resolved them

Item	Source A	Source B	What we did
Fractionation capacity at FY26 end	AR26 MD&A table: Fractionation-2 at 25,000 for FY26, text says raised to 32,500 [AR26 p.83]	IP-Q4 and Q4 call: 47,500 tpa total (15,000 + 32,500) [IP-Q4 s.20; CC-Q4 p.2–3]	Used 47,500; AR26 p.14 also says SF2 debottlenecked to 32,500 in 2026
Date of the 25,000 tpa plant	AR25 and IP-Q4: July 2024 [AR25 p.32; IP-Q4 s.20]	IP-Q1 footnote: July 2025 [IP-Q1 s.11]	Used July 2024 (consistent with FY25 capacity of 40,000 in the capacity table)
Existing refinery capacity	AR26 MD&A and IP-Q4: 45,000 tpa [AR26 p.83; IP-Q4 s.20]	Q3 call: IR head said 55,000, analyst 45,000 [CC-Q3 p.13]	Used 45,000
Raw material from Manorama Africa Ltd	CFO: about 20–25% in FY25–FY26; analyst: 60% last year [CC-Q4 p.9–10]	Audited note: 41.2% (FY25) and 21.3% (FY26) of purchases; 61.5% and 21.6% of materials consumed [AR26 p.232, 236]	Used audited ratios; flagged in Section 5
Customer concentration	Management: top ten customers about 40% of sales [CC-Q2 p.6]	Audited note: two customers 21.05% and 19.49% of FY26 revenue, 40.5% together [AR26 p.232]	Used the audited figure; top ten must be at least 40.5%
Beta	Simply Wall St 0.26	Trendlyne 1-year 1.31 and 3-year 1.18; Sharpely 1.31	Base 1.0; full table in Section 14
FY27 utilisation target	Q4 call: 85–90% [CC-Q4 p.13]	Q1 FY27 call: 80–85%, "take 80%" [CC-Q1 p.10, 15]	Used the later (lower) figure for forecasts
9M FY26 growth	CFO opening: +81.3%	Q&A statement of 73% [CC-Q3 p.15]	Used the CFO's opening figure, consistent with Q1+Q2+Q3 revenue
FY26 revenue	CEO ₹1,358 cr; CFO ₹1,357 cr [CC-Q4 p.2–3]	Audited ₹1,357.70 cr [AR26 p.204]	Used audited
CBE + stearin share	AR25: about 72% and "nearly 70%" on the same page [AR25 p.71]	IP-Q1: 71.4% for FY26 [IP-Q1 s.5]	Quoted both with sources
Export share Q1 FY27	Q1 call: 60:40 [CC-Q1 p.2–4]	FY26 audited 57:43 [AR26 p.231]	Quoted both; different periods
Dekel (Brazil) status	IP-Q4: first commercial batch Q3 FY26 [IP-Q4 s.48]	Q1 FY27 call: trial production last quarter, ramp over 2–4 quarters [CC-Q1 p.5, 14]	Quoted both; no revenue modelled separately
Burkina plant capacity	Q2 call: about 70,000 t [CC-Q2 p.14]	IP-Q4: 90,000 tpa [IP-Q4 s.27]	Used 90,000 (latest)
Working-capital days	Q2 call: 97 days at Sep-25 [CC-Q2 p.4, 10]	Q4 call: 125 days for FY26 [CC-Q4 p.4]	Used 125 (year-end); measurement dates differ
P/E (trailing)	Trendlyne: 45.8x [TL p.1]	Our arithmetic: ₹1,790.4 ÷ ₹42.97 = 41.7x	Showed both; EPS basis of Trendlyne not disclosed

15.3 What we left out because it is not in our sources

- Volumes and realisations by product; revenue by customer.
- Financials of competing CBE producers and the global CBE or specialty-fat market size (the annual report cites India figures only).
- A price benchmark for related-party purchases; the amount and counterparty of the August 2026 supplier debit note.
- The basis of the three analysts' targets on Trendlyne (methodology, dates).
- Any broker report in the shared folder (none was supplied); the Q4 FY26 and Q1 FY27 earnings-call audio.
- The share price history needed to compute our own betas (we rely on published betas).

15.4 Checks we ran

- FY26 standalone PAT ₹23,321.97 lakh equals ₹233.22 cr stated on the Q4 call; operating cash flow ₹25,936.87 lakh equals ₹259.37 cr; revenue ₹135,769.73 lakh equals ₹13,577 mn in IP-Q4 [AR26 p.204–205; CC-Q4; IP-Q4 s.7].
- Our derived EBITDA for FY25 (₹191.05 cr) and FY26 (₹367.71 cr) equals the company's ₹19,105.35 lakh and ₹36,771.01 lakh [AR26 p.89]; consolidated Q1 FY27 EBITDA derived from the filing (₹10,621 lakh) equals IP-Q1's ₹1,062.1 mn [R-Q1; IP-Q1 s.24].
- Quarterly series: FY25 quarters sum to ₹7,708 mn revenue and ₹1,911 mn EBITDA, FY26 quarters to ₹13,577 mn and ₹3,678 mn, matching annual figures [IP-Q4 s.8].
- Share count: 5,97,08,530 + 34,01,360 (QIP) + 12,500 (ESOP) = 6,31,22,390 [AR26 p.89]. Promoters 3,24,35,406 ÷ 6,31,22,390 = 51.38%, equal to Trendlyne's Sep-26 figure [TL p.11].

- Market cap: ₹1,790.4 × 6.312239 cr = ₹11,301 cr against Trendlyne's ₹113.0 bn (₹11,300 cr) [TL p.1].
- Net debt: standalone (borrowings less cash and other bank balances) ÷ equity = 0.38x, equal to the CFO's figure [AR26 p.203; CC-Q4 p.4].
- Industry CAGRs reproduced from start and end values.

16. Frequently asked analytical questions

Why Sell a company that grew profit 99% a year for three years?

Because our rating is about the price, not the business. At ₹1,790 the shares trade at 33.5x our FY28E EPS. To justify that on our DCF the cost of equity would have to be about 8.5%, or the steady-state margin above 40%. We think the business is excellent and the price already says so.

How much does the answer depend on beta?

Entirely. At a beta of 0.26 our model gives a target of ₹2,260 and a Buy; at 0.6 it gives ₹1,470 and a Sell; at 1.0 it gives ₹1,195. Published betas range from 0.26 to 1.31. This is why conviction is low-to-medium and why we show every figure in Section 14.

The Street has a ₹2,111 target. Why are you so far away?

Earnings expectations are almost identical (FY28E EPS ₹53.4 ours, ₹55.5 theirs); the difference is the multiple. ₹2,111 is 38x FY28E EPS; our blend is equivalent to 22x. We do not know how the three analysts chose their multiple.

Why standalone figures for history and consolidated EPS for valuation?

Subsidiaries were incorporated from July 2024 and had little revenue, so standalone statements show the operating business; consolidated PAT is ₹8.3 cr lower in FY26. We value per share on consolidated earnings because that is what shareholders own.

Is the ₹500 cr QIP a negative?

It lowers net debt and funds capex without raising leverage, and we credit the cash in the DCF. It also adds 5.7% to the share count, which we reflect in per-share values. It follows management's January 2026 comment that there was no immediate plan for external funding, so we read capital needs as higher than first signalled.

How worried are you about related-party sourcing?

Moderately. Related parties supplied 38.9% of purchases in FY26 (43.6% in FY25), and the share from Manorama Africa Ltd halved to 21.3%, which is the right direction; but the Ghana subsidiary now supplies ₹153 cr, advances to related parties rose to ₹29.6 cr, and the company gives no price benchmark for transactions it describes as arm's length.

How much of the DCF is terminal value?

44% of enterprise value. The 15-year explicit period matters here because margins and growth fade slowly, so a large part of the value sits in FY30E–FY41E cash flows rather than in the terminal value.

What would make you a buyer?

Either a lower price (about ₹1,040 for Buy on our target), or evidence that a cost of equity near 9–10% is right (for example a multi-year record of low earnings volatility and clean related-party disclosure), which would lift our target toward ₹1,470 at beta 0.6.

Is this advice?

No. It is an AI-assisted study for a virtual portfolio, built from the documents named in Section 15 and our own assumptions.

Appendix A. Base-case DCF year by year

FY	Sales	Margin	EBITDA	Tax	Capex	ΔNWC	Subs.	FCFF	DF	PV
FY27E	1,711	26.5%	453	111	235	153	12	−58	0.889	−51
FY28E	1,950	26.0%	507	122	150	61	10	164	0.790	129
FY29E	2,340	26.0%	608	143	60	113	6	287	0.702	201
FY30E	2,761	25.6%	707	175	126	130	0	276	0.624	172
FY31E	3,093	25.2%	779	193	113	77	0	396	0.555	220
FY32E	3,402	24.8%	844	209	113	90	0	432	0.493	213
FY33E	3,708	24.4%	905	224	117	82	0	482	0.438	211
FY34E	4,005	24.0%	961	237	119	73	0	532	0.390	207
FY35E	4,285	24.0%	1,028	254	120	61	0	593	0.346	206
FY36E	4,542	24.0%	1,090	269	120	93	0	609	0.308	187
FY37E	4,770	24.0%	1,145	283	117	82	0	663	0.274	182
FY38E	5,008	24.0%	1,202	297	123	86	0	696	0.243	169
FY39E	5,258	24.0%	1,262	312	129	90	0	731	0.216	158
FY40E	5,521	24.0%	1,325	327	135	95	0	768	0.192	148
FY41E	5,797	24.0%	1,391	344	142	99	0	806	0.171	138

₹ crore. Source: our model. FCFF = EBITDA − tax on EBIT (26%) − capex − increase in working capital − subsidiary losses (EBITDA less depreciation is the EBIT base for tax). Terminal value = FY41E FCFF ₹806 cr × 1.05 ÷ (12.5% − 5%) = ₹11,286 cr, discounted at 0.1709 = ₹1,929 cr. Sum of PV of FCFF ₹2,491 cr; enterprise value ₹4,420 cr. Depreciation is ₹28 cr, ₹38 cr and ₹60 cr in FY27E–FY29E, then 1.2% of sales.

Scenario	Enterprise value (₹ cr)	Equity value (₹ cr)	Per share at 1-Apr-26 (₹)	Today (₹)	12M (₹)
Bear	2,043	2,328	369	394	443
Base	4,420	4,706	746	795	895
Bull	6,006	6,292	997	1064	1197

Appendix B. Historical data tables

B.1 Quarterly series (standalone, ₹ crore)

Quarter	Revenue	EBITDA	EBITDA margin	Source
Q1 FY25	133.4	26.8	20.1%	IP-Q4 s.8
Q2 FY25	195.4	45.2	23.1%	IP-Q4 s.8
Q3 FY25	209.2	55.2	26.4%	IP-Q4 s.8
Q4 FY25	232.8	63.9	27.4%	IP-Q4 s.7–8
Q1 FY26	289.6	79.0	27.3%	IP-Q4 s.8; R-Q1
Q2 FY26	323.3	87.7	27.1%	CC-Q2 p.4
Q3 FY26	362.5	98.2	27.1%	IP-Q4 s.8; CC-Q3
Q4 FY26	382.3	102.9	26.9%	IP-Q4 s.7; R-Q1
Q1 FY27	404.0	109.2 (derived)	27.0%	R-Q1

B.2 Q1 FY27 against Q1 FY26 and Q4 FY26 (₹ lakh, from the results filing)

Standalone	Q1 FY27	Q4 FY26	Q1 FY26
Revenue from operations	40,395.93	38,229.93	28,955.08
Other income	1,602.64	(533.13)	508.60
Materials consumed	35,896.94	23,916.34	22,700.01
Change in inventories	(13,152.86)	(2,480.12)	(7,442.96)
Employee cost	1,777.66	1,936.50	1,554.39
Finance cost	989.93	931.14	919.50
Depreciation	612.45	739.90	572.05
Other expenses	4,953.15	4,571.75	4,246.33
Profit before tax	10,921.32	8,081.29	6,914.37
Profit after tax	8,158.59	5,951.64	5,057.62
EPS basic (₹)	13.66	9.97	8.48
Consolidated: revenue	40,400.60	39,134.09	28,955.08
Consolidated: profit after tax	7,865.82	5,245.89	4,694.48
Consolidated: EPS basic (₹)	13.17	8.79	7.87

Source: [R-Q1 p.1–7]. EBITDA (derived) = profit before tax + finance cost + depreciation − other income.

B.3 Consolidated FY26 and FY25 (₹ lakh)

Consolidated	FY26	FY25
Revenue from operations	136,673.89	77,084.19
Other income	1,035.32	2,100.42
Employee benefits	7,230.93	4,999.21
Finance costs	3,787.24	3,918.74
Depreciation and amortisation	2,565.15	2,213.39
Other expenses	19,974.84	13,677.32
Profit before tax	30,816.19	14,608.40
Tax	8,324.39	3,629.45
Profit after tax	22,491.80	10,978.95
EPS basic / diluted (₹)	37.67 / 37.66	18.42 / 18.35
Total assets	119,950.73	98,332.19
Total equity	68,212.89	45,972.19
Inventories	72,777.66	55,048.08
Trade receivables	6,249.13	10,172.82
Cash and cash equivalents	994.05	265.21
Cash from operations	25,041.77	(5,689.74)

Source: [AR26 p.260–262]. Consolidated EBITDA excluding other income was ₹36,133.26 lakh (FY25 ₹18,640.11 lakh) [AR26 p.89].

B.4 Standalone ratios and per-share data

	FY23	FY24	FY25	FY26
EPS basic (₹)	5.00	6.73	18.80	39.06
EPS diluted (₹)	4.99	6.72	18.73	39.05
Dividend per share (₹)		0.40	0.60	0.80
Shares at year end (crore)			5.960	5.971
Effective tax rate	30.9%	24.6%	24.5%	26.2%
Net debt ÷ equity (our calc.)	0.17	0.77	0.83	0.38

Sources: [AR24 p.153–154; AR25 p.174; AR26 p.203–204, 235]. Weighted shares for EPS: 5,95,99,050 (FY25) and 5,97,08,530 (FY26).

Appendix C. Glossary

Term	Meaning
CBE (cocoa butter equivalent)	A fat with the same fatty-acid and triglyceride profile as cocoa butter that can replace part of it in chocolate and confectionery
CBA / ECBE	Cocoa butter alternative / enzymatically produced CBE; names used by the company for planned forward-integration products
Stearin and olein	The solid and liquid fractions obtained when an oil is fractionated; stearin is a main product of the fractionation plants
Fractionation	Separating an oil into fractions by melting point, using solvent in the company's solvent fractionation plants
Expeller, solvent extraction	Mechanical pressing of seeds, followed by chemical extraction of the remaining oil from the cake
Refinery, interesterification	Purifying oils; rearranging fatty acids in a fat to change its melting behaviour
tpa / MTPA	Tonnes per annum / metric tonnes per annum
QIP	Qualified institutional placement: a share issue to institutional buyers
FCFF	Free cash flow to the firm: operating cash flow available to all capital providers after tax and reinvestment
Beta, ERP, Rf	Sensitivity of a stock to the market; equity risk premium; risk-free rate. Cost of equity = Rf + beta × ERP
DCF, P/E, EV/EBITDA	Discounted cash flow; price to earnings; enterprise value to earnings before interest, tax, depreciation and amortisation
ROE, ROCE, DSCR	Return on equity; return on capital employed; debt service coverage ratio (company definitions in the annual reports)
GECL / ECLGS	Government-backed emergency credit line loans taken by the company at 9.25%
MTM	Mark-to-market: fair-value gain or loss on open forward contracts, booked in other income
RPT	Related-party transaction
BRSR	Business Responsibility and Sustainability Report
FDR	Fixed deposit receipt
Standalone / consolidated	Parent company only / parent plus subsidiaries
₹ cr, ₹ lakh, mn	10 million rupees; 100,000 rupees; million

Appendix D. Important information

This document is an AI-assisted analysis prepared for a virtual-portfolio exercise. It is not investment advice, a recommendation to buy or sell any security, or an offer. The author does not hold a position other than in a virtual (paper) portfolio. Rating bands: Buy = expected total return above +15%; Hold = −10% to +15%; Sell = below −10%, measured over twelve months from the price date including dividends.

Facts are taken from the documents named in Section 15 and the Trendlyne stock report of 19 October 2026. Figures labelled "our estimates" or "our arithmetic" are derived by us and may be wrong. Forecasts and valuation inputs (beta, cost of equity, terminal growth, target multiple, working-capital and capex assumptions) are our assumptions. Past performance and company guidance are not reliable indicators of future results. Readers should verify against primary filings before relying on any figure.

Prices are as of 19 October 2026, 3:07 PM, from the Trendlyne report; the 52-week range is from the same report. Market capitalisation is derived (price × 6.312239 cr shares) and may differ from exchange or data-vendor figures. Beta values are those published by Simply Wall St, Trendlyne and Sharpely on or before 19 October 2026 and were not recomputed by us.